CENTRAL ELECTRICITY REGULATORY COMMISSION
NEW DELHI

Petition No. 498/TT/2025

Coram:

Shri Ramesh Babu V., Member
Shri Harish Dudani, Member

Date of Order: 15.01.2026

In the matter of:

Approval under Section 62 read with Section 79(1)(d) of the Electricity Act, 2003 and under Regulation 15(1)(a) and Regulation 23 of the Central Electricity Regulatory Commission (Conduct of Business) Regulations, 2023 for truing up of the transmission tariff for the 2019-24 tariff period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 and the determination of the transmission tariff for the 2024-29 tariff period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 for the Transmission Assets under "Transmission System Associated with Nabinagar-II TPS (3X660 MW)" in the Eastern Region.

And in the matter of:

Power Grid Corporation of India Limited,
SAUDAMINI, Plot No-2, Sector-29,
Gurgaon-122 001, Haryana.

...Petitioner

Versus

1. **Bihar State Power (Holding) Company Limited,**
   Vidyut Bhawan, Bailey Road,
   Patna – 781 001, Bihar

2. **West Bengal State Electricity Distribution Company Limited,**
   Bidyut Bhawan, Bidhan Nagar, Block-DJ, Sector-II, Salt Lake City,
   Kolkata - 700 091, West Bengal

3. **Grid Corporation of Orissa Limited,**
   Shahid Nagar, Bhubaneswar - 751 007,
   Odisha

4. **Damodar Valley Corporation**
   DVC Tower, Maniktala
   Civic Centre, VIP Road,

Kolkata - 700 054, West Bengal

5. **Power Department, Government of Sikkim,**
   Gangtok – 737 101, Sikkim

6. **Jharkhand Bijli Vitran Nigam Limited,**
   Engineering Building, H.E.C., Dhurwa,
   Ranchi – 834 004, Jharkhand

7. **Nabinagar Power Generating Company Private Limited,**
   NTPC Bhawan, Scope Complex- 7, Institutional Area,
   Lodhi road, New Delhi - 110 003

...Respondent(s)

Parties Present: Shri Zafrul Hasan, PGCIL
Shri Angaru Naresh Kumar, PGCIL
Shri Vivek Kumar Singh, PGCIL
Shri Piyush Avasthi, PGCIL
Ms. Supriya Singh, PGCIL
Shri Ashish Agarwal, PGCIL
Shri Vishal Sagar, PGCIL
Shri Vijay G., PGCIL
Shri Amit Yadav, PGCIL
Shri Mukesh Bhakar, PGCIL
Shri Divyanshu Mishra, PGCIL
Shri Arjun Malhotra, PGCIL
Shri Ranjit Kumar Pandey, PGCIL
Shri Ashish Alankar, PGCIL

ORDER

The instant Petition has been filed by Power Grid Corporation of India Limited (hereinafter referred to as "PGCIL/the Petitioner"), a deemed transmission licensee, for truing up of the transmission tariff for the 2019-24 tariff period under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 (hereinafter referred to as "the 2019 Tariff Regulations") and the determination of the transmission tariff under the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024 (hereinafter referred to as "the 2024 Tariff Regulations") of the 2024-29 tariff period with respect to the following transmission

assets under under “Transmission System Associated with Nabinagar-II TPS (3X660 MW)” (hereinafter referred to as “the transmission system/transmission project”) in the Eastern Region:

Asset-1: 400 kV D/C (Quad) Nabinagar- II – Gaya Transmission Line with 2 Nos. associated bays at the Gaya Sub-station;

Asset-2: 400 kV D/C Nabinagar - Patna line along with associated bays at the Patna Sub-station;

Asset-3: 765/400 kV 3X500 MVA ICT-IV along with Associated bays at the Gaya Sub-station;

Asset-4: 80 MVAR Switchable Line Reactor in 400 kV Barh-I line at the Patna Sub-station along with associated bay;

Asset-5: 80 MVAR Switchable Line Reactor at the Nabinagar Sub-station;

2. The Petitioner has made the following prayers in the instant Petition:

a) *“Approve the trued-up Transmission Tariff for 2019-24 block and transmission tariff for 2024-29 block for the assets covered under this petition, as per para 20 & 21 above.*

b) *Approve the Additional capitalization claimed for 2019-24 block and for 2024-29 block for the assets covered under this petition.*

c) *Condone the entire time overrun as submitted for Asset-4.*

d) *Allow the IDC portion deducted due to computation error, being re-claimed in the instant petition.*

e) *Allow the petitioner to recover the shortfall or refund the excess Annual Fixed Charges, on account of Return on Equity due to change in applicable Minimum Alternate/Corporate Income Tax rate as per the Income Tax Act, 1961 (as amended from time to time) of the respective financial year directly without making any application before the Commission as provided in Tariff Regulation 2019 and Tariff regulations 2024 as per para 20 & 21 above for respective block.*

f) *Approve the reimbursement of expenditure by the beneficiaries towards petition filing fee, and expenditure on publishing of notices in newspapers in terms of Regulation 94 (1) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024, and other expenditure (if any) in relation to the filing of petition.*

g) *Allow the petitioner to bill and recover Licensee fee and RLDC fees & charges, separately from the respondents in terms of Regulation 94 (3) and (4) Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2024.*

h) Allow the petitioner to bill and adjust impact on Interest on Loan due to change in Interest rate on account of floating rate of interest applicable during 2024-29 period, if any, from the respondents.

i) Allow the petitioner to file a separate petition before the Commission for claiming the overall security expenses and consequential IOWC on that security expenses as mentioned at para 27 above.

j) Allow the petitioner to file a separate petition before the Commission for claiming the overall insurance expenses and consequential IOWC on that insurance expenses as mentioned at para 27 above.

k) Allow the petitioner to file a separate petition before the Commission for claiming the overall capital spares at the end of tariff block as per actual as mentioned at Para 27 above.

l) Allow the petitioner to claim expenses of CTUIL borne by POWERGRID through a separate petition as mentioned at para 28 above.

m) Allow the Petitioner to bill and recover GST on Transmission Charges separately from the respondents, if GST on transmission is levied at any rate in future. Further, any taxes including GST and duties including cess etc. imposed by any statutory/Govt./municipal authorities shall be allowed to be recovered from the beneficiaries

and pass such other relief as the Commission deems fit and appropriate under the circumstances of the case and in the interest of justice."

Background

3. The brief facts of the case are as follows:

a) The Investment Approval (IA) for implementation of the transmission project was accorded by the Board of Directors (BoD) of the Petitioner's Company on 2.4.2016 and circulated vide Memorandum No. C/CP/Nabinagar-II TPS dated 5.4.2016 at an estimated cost of ₹79013 lakh, including an IDC of ₹5000 lakh, based on the October 2015 level.

b) The transmission project was discussed with the regional constituents in the Standing Committee Meetings of ER held on 20.9.2010 as a part of the Associated Transmission System (ATS) for Nabinagar-II TPS (3x660 MW). Further, the transmission project was also discussed in the 15th Eastern Regional Power Committee (ERPC) meetings held on 28.9.2010

and ratified in the 16th meeting of ERPC held at Bhubaneswar on 18.12.2010.

c) The entire scope of work covered under the transmission project is as under:

Transmission Line:

i. Nabinagar-II – Gaya 400 kV D/C (Quad) line.
ii. Nabinagar-II – Patna 400 kV D/C (Quad) line

Sub-station:

i. **Extension of 765/400 kV Sub-station at Gaya**

765 kV

- Transformer Bay: 1
- 765/400 kV, 1500 MVA ICT: 1

400 kV

- Transformer Bay: 1
- Line bays: 2

ii. **Extension of 765/400 kV Sub-station at Gaya**

400 kV

- Line bays: 2
- 420 kV, 80 MVAR Switchable Line Reactor: 2
- Switchable Line Reactor bays: 2

d) Initially the scope of the transmission project was approved as 400 kV D/C Nabinagar–Patna Transmission Line along with 2X80 MVAR Switchable Line Reactor at Patna-end. However, due to space constraint at the Patna Sub-station, the scope of work was modified as per the CEA meeting dated 2.11.2017 as under:

i. Termination of one of the circuits in existing 80 MVAR Bus Reactor bay along with conversion of existing 80 MVAR Bus Reactor as Switchable Line Reactor.

ii. Installation of originally identified Switchable Line Reactor for this circuit as Switchable Line Reactor in one circuit of Barh-Patna line.

e) The same was also approved in 1st ERPCTP dated 14.2.2020 and the CEA meeting dated 2.11.2017.

f) The 1X80 MVAR Bus Reactor at the Patna Sub-station was originally put under commercial operation on 1.5.2007 under the "Kahalgaon Stage-II Phase-I" transmission project, was subsequently converted into a "Switchable Line Reactor and installed with Circuit -1 of the 400 kV D/C Nabinagar II-Patna Transmission Line". Accordingly, the Petitioner vide affidavit dated 30.6.2021 in Petition No. 675/TT/2020, submitted that in line with the general directions issued by the Commission regarding the shifting of assets from one project to another, the existing 80 MVAR Bus Reactor has been de-capitalized from the "Kahalgaon Stage-II Phase-I" project in truing up Petition No. 86/TT/2020 and recapitalized in the Petition No. 675/TT/2020 along with Asset-1 of the instant transmission assets. The relevant details of de-capitalization and re-capitalization of the 80 MVAR Bus Reactor are as under:

> *"Date of Removal of 80 MVAR Reactor (under operation as Bus Reactor): 2.3.2019.*
> *Date considered for de-capitalization (from* Kahalgaon Stage-II Phase-I, *(in Petition No. 86/TT/2020): 20.7.2019.*
>
> *Date for re-capitalization of 80 MVAR Bus Reactor as SLR (under Asset-I):21.7.2019"*

g) The relevant extract of the Commission's order dated 11.9.2021 in Petition No. 86/TT/2020, with regard to de-capitalization of the 80 MVAR Bus Reactor is as under:

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34. In respect of the decapitalisation, the Petitioner has submitted as under (along with additional details submitted during hearing dated 31.3.2021:

Asset and year	***Amount (₹ in lakh)***	***Reason(s)***
Asset-5	*551.04*	*80 MVAR Bus Reactor at Patna sub-station was originally put under commercial operation on 1.5.2007. The same was removed from Lucknow sub-station on 2.3.2019. Thereafter, it was used at Patna sub-station under Transmission system associated with Nabinagar-II project and put under commercial operation w.e.f. 21.7.2019.*

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38. The Petitioner vide affidavit dated 17.11.2020 had submitted the following details of the decapitalised assets:

Equipment/ Asset	***Year of capitalisation of asset/ equipment being decapitalised***	**Actual date of removal of the asset**	***Original book value of the asset being decapitalised***	***Debt-Equity ratio at the time of capitalisation***	***Cumulative depreciation corresponding to decapitalisation date***	***Cumulative repayment of loan corresponding to decapitalisation***	***Date of decapitalisation claimed in the instant petition***
80MVAR Bus Reactor	*2007-08 (1.5.2007)*	*2.3.2019*	*551.04*	*70:30*	*334.42**	*307.26**	*21.7.2019*

**The Cumulative Depreciation/ Cumulative Repayment up to 31.3.2019 has been stated as ₹325.60 lakh and ₹298.41 lakh vide affidavit dated 17.11.2020. Since the recapitalisation has been done on 21.7.2019, the Cumulative Depreciation/ Cumulative Repayment of loan has been calculated up to 20.7.2019 as ₹334.42 lakh and ₹307.26 lakh.*

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h) The Petitioner vide affidavit dated 31.5.2021 in Petition No. 675/TT/2020, also submitted that the capital cost and FR approved cost of the shifted 80 MVAR Bus Reactor had been approved by the Commission vide its order dated 6.5.2009 in Petition No. 1/2009, order dated 18.5.2010 in Petition No. 50/2010, order dated 15.2.2011 in Petition No. 300/2010,

order dated 14.12.2015 in Petition No. 560/TT/2014 and order dated 11.9.2021 in Petition No. 86/TT/2020. Accordingly, the FR cost of the shifted reactor was not applicable with respect to the instant transmission assets in Petition No. 675/TT/2020. The Petitioner has not claimed any shifting cost for Asset-1 and has requested the Commission to consider the 1x80 MVAR reactor as a separate asset and to allow a separate tariff Petition for the recapitalized asset.

i) The Commission, vide order dated 27.5.2022 in Petition No. 675/TT/2020, bifurcated Asset-1 into two parts, i.e., Asset-1(a): 400 kV D/c Nabinagar-Patna line and associated bays at the Patna Sub-station, and Asset-1(b): 80 MVAR Switchable Line Reactor at the Nabinagar Sub-station, as the remaining useful life of the two assets is not the same. The Commission also directed the Petitioner to submit separate tariff forms for Asset-1(b) at the time of truing up. Accordingly, the Petitioner in compliance with the directions of the Commission, has treated Asset-1(b) as a separate asset, i.e., as Asset-5 in the instant Petition, and also submitted separate tariff forms for the aforesaid asset.

j) The Commission, vide its order dated 22.4.2019 in Petition No. 106/TT/2018, allowed the transmission tariff for Asset-1 from COD to 31.3.2019. Furthermore, the Commission vide its order dated 8.2.2021 in Petition No. 39/TT/2020, trued-up of the transmission tariff from COD to 31.3.2019 and the determination of transmission tariff for the 2019-24 period with respect to Asset-1.

k) The Commission vide order dated 27.5.2022 in Petition No. 675/TT/2020 allowed transmission tariff with respect to Asset-2, Asset-3, Asset-4 and Asset-5 from COD to 31.3.2024 for the 2019-24 tariff period.

4. The Petitioner has filed the instant Petition for truing up of the transmission tariff for the 2019-24 tariff period with respect to the transmission assets and for the determination of the transmission tariff for the 2024-29 tariff period with respect to the Combined Asset (Comprising of Asset-1, Asset-2, Asset-3, and Asset-4) & retained Asset-5 as a separate Asset, which are hereinafter collectively referred to as 'the transmission assets', due to variance in the life lapsed and the balance useful life of the transmission assets.

5. The Respondents are the distribution licensees and power departments, which are procuring transmission services from the Petitioner, mainly beneficiaries of the Eastern Region.

6. The Petitioner has served a copy of the Petition on the Respondents, and notice regarding the filing of this Petition has been published in the newspapers in accordance with Section 64 of the Electricity Act, 2003 (hereinafter referred to as "the Act"). No comments or objections have been received from the general public in response to the aforesaid notices published in the newspapers by the Petitioner.

7. The hearing in this matter was held on 30.10.2025, and the order was reserved.

8. This order is being issued considering the Petition filed vide affidavit dated 29.11.2024. None of the Respondents have filed any reply in the instant Petition.

9. Having heard the representatives of the Petitioner and perused the material on record, we proceed to dispose of the Petition in the succeeding paragraphs.

Truing up of Annual Fixed Charges for the 2019-24 Tariff Period

10. The details of the trued-up transmission charges claimed by the Petitioner with respect to the transmission assets are as under:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	1137.00	1176.69	1207.69	1213.94	1223.63
Interest on Loan	1032.42	940.17	873.82	813.78	755.71
Return on Equity	1208.57	1250.91	1284.00	1290.66	1301.00
Interest on Working Capital	59.16	55.45	51.94	51.60	58.68
O&M Expenses	191.95	198.66	205.63	212.88	220.30
Total	**3629.10**	**3621.88**	**3623.08**	**3582.86**	**3559.32**

Asset-2

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	1421.75	2111.40	2145.96	2.149.75	2159.67
Interest on Loan	1214.14	1607.38	1471.75	1.378.56	1295.11
Return on Equity	1510.29	2243.18	2280.06	2284.11	2294.69
Interest on Working Capital	70.95	95.79	88.86	88.15	100.21
O&M Expenses	197.43	293.26	303.56	314.26	325.22
Total	**4414.56**	**6351.01**	**6290.19**	**6214.83**	**6174.90**

Asset-3

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	246.96	325.97	347.12	348.31	353.11
Interest on Loan	236.65	255.97	244.87	241.95	245.17
Return on Equity	260.56	344.26	366.84	368.10	373.23
Interest on Working Capital	40.74	47.28	45.64	46.83	55.10
O&M Expenses	678.05	841.88	871.68	903.09	934.59
Total	**1462.96**	**1815.36**	**1876.15**	**1908.28**	**1961.20**

Asset-4

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	8.27	55.41	61.99	61.99	63.86
Interest on Loan	6.08	38.99	40.70	38.28	37.23
Return on Equity	8.83	59.13	66.15	66.15	68.15
Interest on Working Capital	0.59	3.51	3.52	3.54	4.14
O&M Expenses	5.45	33.28	34.45	35.66	36.91
Total	**29.22**	**190.32**	**206.81**	**205.62**	**210.29**

Asset-5

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Depreciation	20.27	10.87	10.87	10.86	10.87
Interest on Loan	4.38	4.85	3.85	2.85	1.86

Return on Equity	21.63	31.05	31.05	31.05	31.05
Interest on Working Capital	0.70	0.66	0.60	0.59	0.66
O&M Expenses	0.00	0.00	0.00	0.00	0.00
Total	**46.98**	**47.43**	**46.37**	**45.35**	**44.44**

11. The details of the trued-up Interest on Working Capital (IWC) claimed by the Petitioner with respect to the transmission assets are as under:

Asset-1

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	16.00	16.56	17.14	17.74	18.36
Maintenance Spares	28.79	29.80	30.84	31.93	33.05
Receivables	446.20	446.53	446.68	441.72	437.62
Total Working Capital	**490.99**	**492.89**	**494.66**	**491.39**	**489.03**
Rate of Interest (%)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**59.16**	**55.45**	**51.94**	**51.60**	**58.68**

Asset-2

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	23.61	24.44	25.30	26.19	27.10
Maintenance Spares	42.51	43.99	45.53	47.14	48.78
Receivables	779.04	783.00	775.50	766.21	759.21
Total Working Capital	**845.16**	**851.43**	**846.33**	**839.54**	**835.09**
Rate of Interest (%)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**101.84**	**95.79**	**88.86**	**88.15**	**100.21**
Pro-rata Interest on Working Capital	**70.95**	**95.79**	**88.86**	**88.15**	**100.21**

Asset-3

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	67.81	70.16	72.64	75.26	77.88
Maintenance Spares	122.05	126.28	130.75	135.46	140.19
Receivables	215.85	223.81	231.31	235.27	241.13
Total Working Capital	**405.71**	**420.25**	**434.70**	**445.99**	**459.20**
Rate of Interest (%)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**48.89**	**47.28**	**45.64**	**46.83**	**55.10**
Pro-rata Interest on Working Capital	**40.74**	**47.28**	**45.64**	**46.83**	**55.10**

Asset-4

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	2.68	2.77	2.87	2.97	3.08
Maintenance Spares	4.82	4.99	5.17	5.35	5.54
Receivables	21.20	23.46	25.50	25.35	25.85
Total Working Capital	**28.70**	**31.22**	**33.54**	**33.67**	**34.47**

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Rate of Interest (%)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**3.46**	**3.51**	**3.52**	**3.54**	**4.14**
Pro-rata Interest on Working Capital	**0.59**	**3.51**	**3.52**	**3.54**	**4.14**

Asset-5

(₹ in lakh)

Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
O&M Expenses	0.00	0.00	0.00	0.00	0.00
Maintenance Spares	0.00	0.00	0.00	0.00	0.00
Receivables	8.29	5.85	5.72	5.59	5.46
Total Working Capital	**8.29**	**5.85**	**5.72**	**5.59**	**5.46**
Rate of Interest (%)	12.05	11.25	10.50	10.50	12.00
Interest on Working Capital	**1.00**	**0.66**	**0.60**	**0.59**	**0.66**
Pro-rata Interest on Working Capital	**0.70**	**0.66**	**0.60**	**0.59**	**0.66**

Capital Cost for the 2019-24 Tariff Period

12. The capital cost of the transmission assets has been calculated in accordance with Regulation 19(1) and 19(3) of the 2019 Tariff Regulations.

13. The Commission, vide its order dated 8.2.2021 in Petition No. 39/TT/2020, allowed the capital cost as on 31.3.2019 with respect to Asset-1 and vide its order dated 27.5.2022 in Petition No. 675/TT/2020, allowed the capital cost as on COD with respect to Asset-2, Asset-3, Asset-4, and Asset-5 along with Additional Capital Expenditure (ACE) for the 2019-24 tariff period. The details of the same are as follows:

(₹ in lakh)

Assets	Capital Cost allowed up to COD/31.3.2019	Allowed ACE					Capital Cost allowed as on 31.3.2024
		2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	21259.36*	1393.00	597.00	0.00	0.00	0.00	23249.36
Asset-2	37761.61	1419.39	919.79	581.43	290.72	0.00	40972.94
Asset-3*	5355.58	328.27	519.47	346.31	173.19	0.00	6722.82
Asset-4**	906.94	0.00	252.99	72.28	36.14	0.00	1268.35
Asset-5***	551.04	0.00	0.00	0.00	0.00	0.00	551.04

**** Asset-1:*** *IDC deduction due to computation error amounting to ₹5.51 lakhs.*
***** Asset-3:*** *IDC deducted due to computational error (amounting to ₹29.36 lakhs).*
****** Asset-4:*** *IDC & IEDC deducted due to time overrun (amounting to ₹22.47 lakhs & ₹13.74 lakhs).*

****** Asset-5:***

(i) ₹551.04 is the original book value of this asset.

(ii) FR cost of this asset shifted from original project is not applicable in respect of tariff claimed under subject project.

14. The Petitioner in the instant true-up Petition has claimed the following capital cost with respect to the transmission assets for the 2019-24 tariff period:

(₹ in lakh)

Assets	Approved Cost as per FR	Capital Cost allowed up to COD/31.3.2019	ACE Claimed					Capital Cost claimed as on 31.3.2024
			2019-20	2020-21	2021-22	2022-23	2023-24	
Asset-1	29614.84	21259.36	379.24	1123.79	50.65	185.88	181.01	23179.92
Asset-2	41324.72	37761.61	1419.39	1259.75	48.96	94.98	280.61	40865.31
Asset-3	6762.96	5384.96	328.25	793.16	8.27	36.60	145.24	6696.48
Asset-4	1310.48	924.70	0.31	249.01	0.00	0.00	71.07	1245.09
Asset-5	0.00*	551.04	0.00	0.00	0.00	0.00	0.00	551.04
Total								

**The Petitioner has submitted that FR cost of Asset-I(b) had already been approved vide order dated 11.9.2021 in Petition No. 86/TT/2020 (original project) and not included in FR cost of subject transmission project.*

Cost Overrun

15. We observed that, in the instant truing up Petition, the estimated completion cost of ₹72537.84 lakh claimed as on 31.3.2024 with respect to the transmission assets is within the FR approved cost of ₹79013.00 lakh. Therefore, there is no cost overrun vis-à-vis the apportioned approved cost.

16. Further, it is observed that the Commission vide its order dated 8.2.2021 in Petition No. 39/TT/2020, allowed the truing up Capital Cost of ₹21259.36 lakh as on 31.3.2019 and accordingly, the same is being considered as the opening capital cost for truing up of the transmission tariff for the 2019-24 tariff period with respect to Asset-1.

17. Based on the Auditor's Certificate dated 18.9.2024, the Capital Cost of ₹38008.89 lakh, ₹5391.86 lakh and ₹943.14 lakh respectively, as on COD, are considered as the opening capital cost for truing up of the transmission tariff for the

2019-24 tariff period with respect to Asset-2, Asset-3, Asset-4 respectively. Further, the original book value of ₹551.04 lakh is considered as the opening capital cost for truing up of the transmission tariff for the 2019-24 tariff period with respect to Asset-5.

Time overrun

18. The Petitioner in the instant truing up Petition has submitted that the Commission vide its order dated 27.5.2022 in Petition No. 675/TT/2020 did not condone the time overrun of Asset-4 and directed the Petitioner to submit relevant documentary evidence related to the time overrun at the time of truing up. Accordingly, the requisite documentary evidence and supporting documents have been submitted by the Petitioner.

19. We have considered the Petitioner's submissions. The Commission vide its order dated 27.5.2022 in Petition No. 675/TT/2020, observed that the Petitioner had not submitted any supporting documents with respect to the denial of shutdown, and accordingly, did not condone the time overrun of 242 days with respect to Asset 4 (referred to therein as Asset- III). The Commission also granted liberty to the Petitioner to submit the relevant documentary evidence related to time overrun claimed at the time of truing up. The relevant extract of the aforesaid order is reproduced as under for reference:

> *"41. As regards Asset-III, the Petitioner has submitted that shut-down of 400 kV Patna-Balia line-1, 400 kV bus-2, 500 MVA ICT at Patna was approved from 1.5.2019 to 15.5.2019 but BSEB did not approve the shut-down due to excessive loading at Patna Sub-station. The Petitioner has not submitted any letter or documentary evidence to show that BSEB had rejected or denied the shut-down. In the absence of valid documentary evidence in support of shut-down, time over-run of 242 days is not condoned. However, the Petitioner is at liberty to provide all necessary documents at the time of truing up of tariff in support of delay of 242 days and the claim for time over-run with reference to Asset-III shall be considered on merit."*

20. We have perused the supporting documents submitted by the Petitioner in the instant truing up Petition. It is observed that the Petitioner has submitted various letters, e-mails exchanged between the Petitioner and the concerned authorities regarding the approval of shutdown. The Petitioner has also provided the relevant portions of the 158th, 160th and 161st OCC meetings as supporting documents. It is also noted that the letters dated 27.5.2019, 31.5.2019, 7.6.2019, 26.6.2019 and emails dated 17.5.2019, 4.7.2019, pertain to the shutdown requirement for jumpering the work from the dead-end tower to Gantry with respect to the 400 kV D/C Patna-Barh-I Transmission Line and other works of associated bays. The aforesaid letters and e-mails are not concerned with the shutdown deferment by BSEB due to excessive loading, with respect to the 80 MAVR Switchable Line Reactor.

21. However, it is noted that ERLDC vide e-mail dated 16.8.2019, deferred the shutdown requested by the Petitioner from 20.8.2019 to 23.8.2019 for Commissioning of the instant transmission asset on account of the forced outage of the 400 kV D/C Motihari-Gorakhpur Transmission Line. Therefore, we are of the view that based on the supporting documents submitted in the instant truing up Petition, The Petitioner has substantiated the deferment of shutdown only for a period of 3 days. Accordingly, we condone the time overrun of 3 days with respect to the instant transmission, i.e., Asset-4.

22. Accordingly, the details of SCOD, COD, time overrun claimed, time overrun condoned or not condoned with respect to Asset-2, Asset-3, and Asset-4 is as follows:

Assets	**SCOD**	**COD**	**Time over-run Claimed**	**Time over-run condoned vide order dated 27.5.2022 in Petition No. 675/TT/2020**	**Time over-run condoned in instant order**	**Time over-run not condoned**
Asset-2	1.6.2019	21.7.2019	49	49	-	-

Asset-3		1.6.2019	-	-	-	-
Asset-4		30.1.2020	242	0	03	239

Interest During Construction (IDC) / Incidental Expenditure During Construction (IEDC)

23. The Petitioner has claimed the IDC with respect to Asset-2, Asset-3, and 4 and has submitted the statement showing computation of IDC, the discharge of IDC liability as on the date of commercial operation, and thereafter, as under:

(₹ in lakh)

Particulars	IDC as per the Auditor's Certificate	IDC Discharged up to the COD	IDC Discharged during the 2019-20 Tariff Period	IDC Discharged during the 2020-21 Tariff Period
Asset-2	3007.62	2760.34	199.63	47.64
Asset-3	247.05	240.15	6.90	0.00
Asset-4	54.60	36.16	0.31	18.13

24. We have considered the Petitioner's submissions. As discussed above, the time overrun in the commissioning of the transmission asset has been partly condoned with respect to asset 4. Accordingly, the drawl of loan prior to the SCOD, i.e., 1.6.2019, has been considered and allowed for the computation of IDC. The IDC claimed and considered as on the COD, along with the summary of discharge of IDC liability up to COD and thereafter for the purpose of tariff determination, are as follows:

(₹ in lakh)

Particulars	IDC as per the Auditor's Certificate (A)	IDC Disallowed (B)	IDC Allowed (C)=(A)-(B)	Undischarged IDC (D)	IDC Allowed on COD (E)=(C)-(D)	IDC Discharged during the 2019-20 Tariff Period	IDC Discharged during the 2020-21 Tariff Period
Asset-2	3007.62	0.00	3007.62	252.40	2755.22	199.63	52.77
Asset-3	247.05	28.97	218.08	7.78	210.3	6.90	0.88
Asset-4	54.60	22.50	32.10	1.07	31.03	0.31	0.76

25. Further, the Petitioner has claimed IEDC for the transmission assets based on the Auditor's Certificate dated 18.9.2024. The Petitioner has also submitted that the entire amount of IEDC for the transmission asset has been discharged up to COD. Since the time overrun for Asset-4 has not been fully condoned, the IEDC has been disallowed on a pro-rata basis. The IEDC claimed as per the Auditor's Certificate, the disallowed IEDC, and the amount discharged up to COD are as follows:

(₹ in lakh)

Particulars	IEDC as per the Auditor's Certificate (A)	IEDC disallowed due to time overrun not condoned (B)	IEDC Allowed (C) = (A-B)
Asset-4	79.35	13.62	65.73

Capital Cost allowed as on COD

26. The capital cost of the transmission assets has been calculated in accordance with Regulation 19 of the 2019 Tariff Regulations. Accordingly, the capital cost approved as on COD are as follows:

(₹ in lakh)

Particulars	Capital cost claimed as on COD as per the Auditor's Certificate (A)	IDC Disallowed due to time over-run not condoned, computational errors (B)	IEDC Disallowed due to time over-run not condoned, computational errors (C)	Undischarged IDC (D)	Capital cost Allowed as on COD (E = A-B-C-D)
Asset-1	21259.35	0.00	0.00	0.00	21259.35
Asset-2	38008.89	0.00	0.00	252.40	37756.49
Asset-3	5391.86	28.97	0.00	7.78	5355.11
Asset-4	943.14	22.50	13.62	1.07	905.95
Asset-5	551.04	0.00	0.00	0.00	551.04

Initial Spares

27. The Commission vide its orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020, allowed the Initial Spares with respect to Asset-1, Asset-2, Asset-3, and Asset-4 are as follows:

(₹ in lakh)

Assets	Particulars	Plant & Machinery cost considered as on cut-off date	Initial Spares claimed	Norms as per 2019 Tariff Regulations (in %)	Initial Spares Allowable as per the 2019 Tariff Regulations	Initial Spares Allowed
Asset-1	Transmission Line	20824.61	204.47	1.00	208.28	204.47
	Sub-station	570.90	34.25	6.00	34.25	34.25
Asset-2	Transmission Line	32898.50	324.00	1.00	329.04	324.00
	Sub-station	2278.30	78.44	6.00	140.42	78.44
Asset-3	Sub-station	5476.64	327.74	6.00	328.60	327.74
Asset-4	Sub-station	869.86	28.27	6.00	53.72	28.27

28. The Petitioner in the instant truing up Petition has claimed the Initial Spares under the instant transmission project are within the permissible ceiling limits when computed at both the individual asset level and the project level. The Initial Spares allowed earlier by the Commission vide its orders dated 8.2.2021 and 27.5.2022 in Petition No. 39/TT/2020 and 675/TT/2020 respectively, have been considered in the instant Petition.

29. We have considered the Petitioner's submissions. The details of COD and the respective cut-off date with respect to Asset-1, Asset-2, Asset-3, and Asset-4 covered under the instant transmission assets are as follows:

Particulars	COD	Cut-off Date
Asset-1	12.5.2018	31.3.2021
Asset-2	21.7.2019	31.3.2022
Asset-3	1.6.2019	31.3.2022
Asset-4	30.1.2020	31.3.2023

30. The details of Initial Spares allowed as per the revised Plant and Machinery Cost, in accordance with Regulation 13 of the 2014 Tariff Regulations & Regulation 23 of the 2019 Tariff Regulation, are as follows:

(₹ in lakh)

Assets	Particulars	Plant & Machinery cost considered as on cut-off date (A)	Initial Spares Claimed (B)	Norms as per 2014/2019 Tariff Regulations (in %) (C)	Initial Spares worked out as per the 2014/2019 Tariff Regulations (D=(A-B)*C/(1-C))	Excess Initial Spares (E=B-D)	Initial Spares Allowed (F)
Asset-1	Transmission Line	20824.61	204.47	1.00	208.28	-	204.47
	Sub-station	570.90	34.25	6.00	34.25	-	34.25
Asset-2	Transmission Line	32898.50	324	1.00	329.04	-	324
	Sub-station	2278.30	78.44	6.00	140.42	-	78.44
Asset-3	Sub-station	5476.64	327.74	6.00	328.65	-	327.74
Asset-4	Sub-station	869.86	28.27	6.00	53.72	-	28.27

31. The Initial Spares claimed are within the limits specified under the 2014 and 2019 Tariff Regulation. Accordingly, there is no alteration in the Initial Spares allowed earlier by the Commission vide its orders dated 8.2.2021 and 27.5.2022 in Petition No. 39/TT/2020 and 675/TT/2020 respectively.

Additional Capital Expenditure (ACE)

32. The Commission vide its orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020, allowed ACE with respect to the transmission assets for the 2019-24 tariff period under 24(1)(a), 24(1)(b) and 25(1)(d) of the 2019 Tariff Regulations on account of undischarged liabilities recognized as payable at a future date, works deferred for execution, and undischarged liabilities for works executed prior to the cut-off date, the details are as follows:

(₹ in lakh)

Assets	Projected ACE Allowed				
	2019-20	2020-21	2021-22	2022-23	2023-24
Asset-1	1393.00	597.00	0.00	0.00	0.00
Asset-2	1419.39	919.79	581.43	290.72	0.00
Asset-3	328.27	519.47	346.31	173.19	0.00
Asset-4	0.00	252.99	72.28	36.14	0.00
Asset-5	0.00	0.00	0.00	0.00	0.00

33. The Petitioner in the instant true-up Petition has claimed the following ACE for the 2019-24 tariff period with respect to Asset-1, Asset-2, Asset-3, and Asset-4 based on actual expenditure in accordance with Regulation 25(1)(d) of the 2019 Tariff Regulations as per the following details:

(₹ in lakh)

Asset-1						
Particulars	Regulations	Actual ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Works deferred for execution	24(1)(b) of the 2019 Tariff Regulations	379.24	0.00	0.00	0.00	0.00
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	0.00	1123.79	0.00	0.00	0.00
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	0.00	0.00	50.65	185.88	181.01
Total		**379.24**	**1123.79**	**50.65**	**185.88**	**181.01**

(₹ in lakh)

Asset-2						
Particulars	Regulations	Actual ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	1419.39*	0.00	0.00	0.00	0.00
Undischarged liabilities recognized to	24(1)(a) and 24(1)(b) of the 2019	0.00	1264.88*	48.96	0.00	0.00

Asset-2						
Particulars	**Regulations**	**Actual ACE**				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
be payable at a future date and Works deferred for execution	Tariff Regulations					
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	0.00	0.00	0.00	94.98	280.61
Total		**1419.39***	**1264.88***	**48.96**	**94.98**	**280.61**

Includes IDC discharged amounting to ₹199.63 lakh and ₹52.77 lakh respectively

(₹ in lakh)

Asset-3						
Particulars	**Regulations**	**Actual ACE**				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	328.25*	0.00	0.00	0.00	0.00
Undischarged liabilities recognized to be payable at a future date and Works deferred for execution	24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations	0.00	794.04*	8.27	0.00	0.00
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	0.00	0.00	0.00	36.60	145.24
Total		**328.25**	**794.04**	**8.27**	**36.60**	**145.24**

Includes IDC discharged amounting to ₹6.90 lakh & ₹0.88 lakh respectively

(₹ in lakh)

Asset-4						
Particulars	**Regulations**	**Actual ACE**				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	0.31*	0.00	0.00	0.00	0.00

Asset-4						
Particulars	**Regulations**	**Actual ACE**				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Undischarged liabilities recognized to be payable at a future date and Works deferred for execution	24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations	0.00	231.64*	0.00	0.00	0.00
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	0.00	0.00	0.00	0.00	71.07
Total		**0.31**	**231.64**	**0.00**	**0.00**	**71.07**

Includes IDC discharged amounting to ₹0.31 lakh and ₹0.76 lakh respectively.

34. Furthermore, the Petitioner vide affidavit dated 29.11.2024 has also submitted the Liability Flow Statement containing the head-wise and party-wise details of the actual ACE incurred during the 2019-24 tariff period for the respective transmission assets under Regulation 24(1)(a), 24(1)(b) and 25(1)(d) of the 2019 Tariff regulations are as under:

Asset-1

(₹ in lakh)

Head-wise/ Party-wise	**Particulars**	**Year of Actual Capitalisation**	**Outstanding Liability as on 31.3.2019**	**Discharge**						**Outstanding Liability as on 31.3.2024**
				2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	**Total (19-24)**	
AVNIL Cable PVT LTD	Transmission Line	12.5.2018	684.00	85.00	444.60	50.65	71.82	31.93	684.00	-
Shashi Cable			825.21	78.04	536.39	-	68.10	142.68	825.21	-
Tata project and others			437.74	216.20	85.54	-	45.96	6.40	354.10	83.64
M/S Siemens and others	Sub-station		57.26	0.00	57.26	-	-	-	57.26	-
Total			**2004.21**	**379.24**	**1123.79**	**50.65**	**185.88**	**181.01**	**1920.57**	**83.64**

Asset-2

(₹ in lakh)

Head-wise/Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on COD	Discharge						Outstanding Liability as on 31.3.2024
				2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	
M/S Hindustand Urban Infrastructure Ltd, M/S Shashi Cables Limited, M/s Palriwal Industries Pvt. Ltd, M/s Anvil Cables Pvt. Ltd., M/s Vijal Electrical Limited, M/s Smita Conductors Private Limited, M/s Durable Conductors & Cables, M/s KEC Internation Ltd, M/s Jilin Longxin Electrical Equipment Co. Ltd.	Transmission Line	21.7.2019	1675.16	1030.22	18.87	20.46	46.07	-	1115.62	559.54
M/s GET & D India Limited	Sub-station		1310.92	189.54	298.66	28.5	48.91	280.61	846.22	464.7
Total			**2986.08**	**1219.76**	**317.53**	**48.96**	**94.98**	**280.61**	**1961.84**	1024.24

Head-wise/Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on COD	Additional Liability Recognized and Discharged						Outstanding Liability as on 31.3.2024
				2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	
M/S Hindustand Urban Infrastructure Ltd, M/S Shashi Cables Limited, M/s Palriwal Industries Pvt. Ltd, M/s Anvil Cables Pvt. Ltd., M/s Vijal Electrical Limited, M/s Smita Conductors Private Limited, M/s Durable Conductors & Cables, M/s KEC	Transmission Line	21.7.2019	-	-	559.54	-	-	-	559.54	-

Internation Ltd, M/s Jilin Longxin Electrical Equipment Co. Ltd.										
M/s GET & D India Limited	Sub-station		-	-	335.04	-	-	-	335.04	129.66
Total			**-**	**-**	**894.58**	**-**	**-**	**-**	**894.58**	**129.66**

Asset-3

(₹ in lakh)

Head-wise/Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on COD	Discharge						Outstanding Liability as on 31.3.2024
				2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	**Total (19-24)**	
M/s GE T&D India and M/s Toshiba Transmission & Distribution	Sub-station	1.6.2019	1369.62	321.25	25.54	8.27	36.60	145.24	537.00	65.00
Total			**1369.62**	**321.25**	**25.54**	**8.27**	**36.60**	**145.24**	**537.00**	**65.00**

Head-wise/Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on COD	Additional Liability recognized and Discharge						Outstanding Liability as on 31.3.2024
				2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	**Total (19-24)**	
M/s GE T&D India	Sub-station	30.1.2020	0.00	0.00	767.62	-	-	-	767.62	-
Total			**-**	**0.00**	**767.62**	**-**	**-**	**-**	**767.62**	**-**

Asset-4

(₹ in lakh)

Head-wise/Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on COD	Discharge					
				2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)
M/s GE T&D India	Sub-station	30.1.2020	366.95	0.00	6.62	0.00	0.00	71.07	77.69
Total			**366.95**	**0.00**	**6.62**	**0.00**	**0.00**	**71.07**	**77.69**

Head-wise/Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on COD	Additional Liability recognized and Discharge						Outstanding Liability as on 31.3.2024
				2019-20	2020-21	2021-22	2022-23	2023-24	Total (19-24)	
M/s GE T&D India	Sub-station	30.1.2020	-	-	224.26	-	-	-	224.26	-
Total			**-**	**-**	**224.26**	**-**	**-**	**-**	**224.26**	**-**

35. We have considered the Petitioner's submissions. We observe that the Petitioner has claimed ACE with respect to Asset-1, Asset-2, Asset-3, and Asset-4 on account of undischarged liabilities recognized as payable at a future date, works deferred for execution and undischarged liabilities for works executed prior to the cut-off date. Accordingly, the ACE claimed by the Petitioner under Regulation 24(1)(a), 24(1)(b) and 25(1)(d) of the 2019 Tariff Regulations for the 2019-24 tariff period is hereby allowed, and the details are as follows:

(₹ in lakh)

Asset-1						
Particulars	Regulations	Actual ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Works deferred for execution	24(1)(b) of the 2019 Tariff Regulations	379.24	-	-	-	-
Undischarged liabilities recognized	24(1)(a) of the 2019 Tariff Regulations	-	1123.79	-	-	-

Asset-1						
Particulars	Regulations	Actual ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
to be payable at a future date						
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	-	-	50.65	185.88	181.01
Total		**379.24**	**1123.79**	**50.65**	**185.88**	**181.01**

(₹ in lakh)

Asset-2						
Particulars	Regulations	Actual ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	1219.76	-	-	-	-
Undischarged liabilities recognized to be payable at a future date and Works deferred for execution	24(1)(b) of the 2019 Tariff Regulations	-	1212.11	48.96	-	-
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	-	-	-	94.98	280.61
Add : undischarged IDC		199.63	52.77	-	-	-
Total		**1419.39**	**1264.88**	**48.96**	**94.98**	**280.61**

(₹ in lakh)

Asset-3						
Particulars	Regulations	Actual ACE				
		2019-20	2020-21	2021-22	2022-23	2023-24
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	321.35	-	-	-	-
Undischarged liabilities recognized to be payable at a future date and Works deferred for execution	24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations	-	793.16	8.27	-	-
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	-	-	-	36.60	145.24

Asset-3						
Particulars	**Regulations**	**Actual ACE**				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Add: undischarged IDC		6.90	0.88	-	-	-
Total		**328.25**	**794.04**	**8.27**	**36.60**	**145.24**

(₹ in lakh)

Asset-4						
Particulars	**Regulations**	**Actual ACE**				
		2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Undischarged liabilities recognized to be payable at a future date	24(1)(a) of the 2019 Tariff Regulations	-	-	-	-	-
Undischarged liabilities recognized to be payable at a future date and Works deferred for execution	24(1)(a) and 24(1)(b) of the 2019 Tariff Regulations	-	230.80	-	-	-
Undischarged Liability for works executed prior to cut-off date	25(1)(d) of the 2019 Tariff Regulations	-	-	-	-	71.07
Add: undischarged IDC		0.31	0.76	-	-	-
Total		**0.31**	**231.64**	**-**	**-**	**71.07**

36. Accordingly, the capital cost and trued-up ACE approved with respect to the transmission assets for the 2019-24 period is as follows:

(₹ in lakh)

Assets	**Apportioned Approved Cost**	**Capital Cost allowed as on 1.4.2019/ COD**	**Actual ACE**					**Total Capital Cost as on 31.3.2024**
			2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**	
Asset-1	29614.84	21259.35	379.24	1123.79	50.65	185.88	181.01	23179.92
Asset-2	41324.72	37756.49	1419.39	1264.88	48.96	94.98	280.61	40865.31
Asset-3	6762.96	5355.11	328.25	794.04	8.27	36.6	145.24	6667.51
Asset-4	1310.48	905.95	0.31	231.64	-	-	71.07	1208.97
Asset-5	0.00*	551.04	0	0	0	0	0	551.04

**The Petitioner has submitted that FR cost of Asset-I(b) had already been approved vide order dated 11.9.2021 in Petition No. 86/TT/2020 (original project) and not included in FR cost of subject transmission project.*

Debt-Equity Ratio

37. The details of the debt-equity ratio considered and approved under Regulation 18 of the 2019 Tariff Regulations for computation of the tariff with respect to the transmission assets during the 2019-24 tariff period are as follows:

Asset-1						
Funding	**Capital Cost as on 1.4.2019 (₹ in lakh)**	**(in %)**	**ACE in 2019-24 (₹ in lakh)**	**(in %)**	**Capital Cost as on 31.3.2024 (₹ in lakh)**	**(in %)**
Debt	14881.55	70.00	1344.40	70.00	16225.94	70.00
Equity	6377.81	30.00	576.17	30.00	6953.98	30.00
Total	**21259.35**	**100.00**	**1920.57**	**100.00**	**23179.92**	**100.00**

Asset-2						
Funding	**Capital Cost as on COD (₹ in lakh)**	**(in %)**	**ACE in 2019-24 (₹ in lakh)**	**(in %)**	**Capital Cost as on 31.3.2024 (₹ in lakh)**	**(in %)**
Debt	26429.55	70.00	2176.17	70.00	28605.72	70.00
Equity	11326.95	30.00	932.64	30.00	12259.59	30.00
Total	**37756.49**	**100.00**	**3108.82**	**100.00**	**40865.31**	**100.00**

Asset-3						
Funding	**Capital Cost as on COD (₹ in lakh)**	**(in %)**	**ACE in 2019-24 (₹ in lakh)**	**(in %)**	**Capital Cost as on 31.3.2024 (₹ in lakh)**	**(in %)**
Debt	3748.58	70.00	918.68	70.00	4667.26	70.00
Equity	1606.53	30.00	393.72	30.00	2000.25	30.00
Total	**5355.11**	**100.00**	**1312.40**	**100.00**	**6667.51**	**100.00**

Asset-4						
Funding	**Capital Cost as on COD (₹ in lakh)**	**(in %)**	**ACE in 2019-24 (₹ in lakh)**	**(in %)**	**Capital Cost as on 31.3.2024 (₹ in lakh)**	**(in %)**
Debt	634.16	70.00	212.12	70.00	846.28	70.00
Equity	271.78	30.00	90.91	30.00	362.69	30.00
Total	**905.95**	**100.00**	**303.02**	**100.00**	**1208.97**	**100.00**

Asset-5						
Funding	**Capital Cost as on COD (₹ in lakh)**	**(in %)**	**ACE in 2019-24 (₹ in lakh)**	**(in %)**	**Capital Cost as on 31.3.2024 (₹ in lakh)**	**(in %)**
Debt	385.73	70.00	0.00	70.00	385.73	70.00
Equity	165.31	30.00	0.00	30.00	165.31	30.00
Total	**551.04**	**100.00**	**0.00**	**100.00**	**551.04**	**100.00**

Depreciation

38. The depreciation has been worked out considering the admitted capital expenditure as on COD and, thereafter, up to 31.3.2024. The Weighted Average Rate of Depreciation (WAROD) has been worked out for Asset-1, Asset-2, Asset-3 and Asset-4 as per the rates of depreciation specified in Regulation 33 of the 2019 Tariff Regulations. Since, the transmission asset had already completed 12 years of its useful life prior to 1.4.2020, the depreciation with respect to Asset-5 for the 2019-24 tariff period has been calculated by spreading the balance depreciable value of ₹141.25 lakh as on 1.4.2020 over the remaining useful life of Asset-5 in accordance with the 2019 Tariff Regulations. Accordingly, the depreciation approved with respect to the transmission assets for the 2019-24 tariff period are as follows:

(₹ in lakh)

Asset-1						
Sl. No.	**Particulars**	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
A	Opening Capital Cost	21259.35	21638.59	22762.38	22813.03	22998.91
B	Addition during the year 2019-24 due to ACE	379.24	1123.79	50.65	185.88	181.01
C	Closing Capital Cost (A+B)	21638.59	22762.38	22813.03	22998.91	23179.92
D	Average Capital Cost (A+C)/2	21448.97	22200.49	22787.71	22905.97	23089.42
E	Average Capital Cost (90% depreciable assets)	21416.08	22167.60	22754.82	22873.08	23056.53
F	Average Capital Cost (100% depreciable assets)	32.89	32.89	32.89	32.89	32.89
G	Depreciable value (excluding IT equipment and software) (E*90%)	19274.47	19950.84	20479.33	20585.77	20750.87

Asset-1						
Sl. No.	**Particulars**	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
H	Depreciable value of IT equipment and software (F*100%)	32.89	32.89	32.89	32.89	32.89
I	Total Depreciable Value (G+H)	19307.36	19983.73	20512.22	20618.66	20783.76
J	Weighted average rate of Depreciation (WAROD) (in %)	5.3010%	5.3003%	5.2998%	5.2997%	5.2995%
K	Balance useful life at the beginning of the year (Year)	35	34	33	32	31
L	Elapsed useful life at the beginning of the year (Year)	0	1	2	3	4
M	**Depreciation during the year (D*J)**	**1137.01**	**1176.69**	**1207.69**	**1213.94**	**1223.62**
N	Cumulative Depreciation at the end of the year	2066.82	3243.52	4451.21	5665.15	6888.78
O	Remaining Aggregate Depreciable Value at the end of the year	17240.54	16740.21	16061.01	14953.51	13894.99

(₹ in lakh)

Asset-2						
Sl. No.	**Particulars**	**2019-20 (pro-rata 255 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
A	Opening Capital Cost	37756.49	39175.88	40440.76	40489.72	40584.70
B	Addition during the year 2019-24 due to ACE	1419.39	1264.88	48.96	94.98	280.61
C	Closing Capital Cost (A+B)	39175.88	40440.76	40489.72	40584.70	40865.31
D	Average Capital Cost (A+C)/2	38466.19	39808.32	40465.24	40537.21	40725.01
E	Average Capital Cost (90% depreciable assets)	38384.55	39726.41	40383.27	40455.24	40643.04
F	Average Capital Cost (100% depreciable assets)	81.64	81.91	81.97	81.97	81.97
G	Depreciable value (excluding IT equipment and software) (E*90%)	34546.09	35753.77	36344.94	36409.72	36578.73
H	Depreciable value of IT equipment and software (F*100%)	81.64	81.91	81.97	81.97	81.97
I	Total Depreciable Value (G+H)	34627.73	35835.68	36426.91	36491.69	36660.70
J	Weighted average rate of Depreciation (WAROD) (in %)	5.3043%	5.3036%	5.3032%	5.3032%	5.3030%

Asset-2						
Sl. No.	**Particulars**	**2019-20 (pro-rata 255 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
K	Balance useful life at the beginning of the year (Year)	34	33	32	31	30
L	Elapsed useful life at the beginning of the year (Year)	0	0	1	2	3
M	**Depreciation during the year (D*J)**	**1421.57**	**2111.27**	**2145.96**	**2149.76**	**2159.67**
N	Cumulative Depreciation at the end of the year	1421.57	3532.83	5678.79	7828.54	9988.21
O	Remaining Aggregate Depreciable Value at the end of the year	33206.17	32302.85	30748.12	28663.14	26672.49

(₹ in lakh)

Asset-3						
Sl. No.	**Particulars**	**2019-20 (pro-rata 305 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
A	Opening Capital Cost	5355.11	5683.36	6477.40	6485.67	6522.27
B	Addition during the year 2019-24 due to ACE	328.25	794.04	8.27	36.60	145.24
C	Closing Capital Cost (A+B)	5683.36	6477.40	6485.67	6522.27	6667.51
D	Average Capital Cost (A+C)/2	5519.23	6080.38	6481.53	6503.97	6594.89
E	Average Capital Cost (90% depreciable assets)	5484.78	6045.90	6447.05	6469.48	6560.40
F	Average Capital Cost (100% depreciable assets)	34.46	34.48	34.48	34.48	34.48
G	Depreciable value (excluding IT equipment and software) (E*90%)	4936.30	5441.31	5802.34	5822.54	5904.36
H	Depreciable value of IT equipment and software (F*100%)	34.46	34.48	34.48	34.48	34.48
I	Total Depreciable Value (G+H)	4970.76	5475.79	5836.83	5857.02	5938.85
J	Weighted average rate of Depreciation (WAROD) (in %)	5.3407%	5.3351%	5.3316%	5.3316%	5.3308%
K	Balance useful life at the beginning of the year (Year)	25	24	23	22	21
L	Elapsed useful life at the beginning of the year (Year)	0	0	1	2	3
M	**Depreciation during the year (D*J)**	**245.64**	**324.39**	**345.57**	**346.76**	**351.56**

Asset-3						
Sl. No.	**Particulars**	**2019-20 (pro-rata 305 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
N	Cumulative Depreciation at the end of the year	245.64	570.03	915.61	1262.37	1613.93
O	Remaining Aggregate Depreciable Value at the end of the year	4725.11	4905.76	4921.22	4594.65	4324.92

(₹ in lakh)

Asset-4						
Sl. No.	**Particulars**	**2019-20 (pro-rata 62 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
A	Opening Capital Cost	905.95	906.26	1137.90	1137.90	1137.90
B	Addition during the year 2019-24 due to ACE	0.31	231.64	0.00	0.00	71.07
C	Closing Capital Cost (A+B)	906.26	1137.90	1137.90	1137.90	1208.97
D	Average Capital Cost (A+C)/2	906.10	1022.08	1137.90	1137.90	1173.43
E	Average Capital Cost (90% depreciable assets)	906.10	1022.08	1137.90	1137.90	1173.43
F	Average Capital Cost (100% depreciable assets)	0.00	0.00	0.00	0.00	0.00
G	Depreciable value (excluding IT equipment and software) (E*90%)	815.49	919.87	1024.11	1024.11	1056.09
H	Depreciable value of IT equipment and software (F*100%)	0.00	0.00	0.00	0.00	0.00
I	Total Depreciable Value (G+H)	815.49	919.87	1024.11	1024.11	1056.09
J	Weighted average rate of Depreciation (WAROD) (in %)	5.2798%	5.2804%	5.2799%	5.2799%	5.2802%
K	Balance useful life at the beginning of the year (Year)	25	24	23	22	21
L	Elapsed useful life at the beginning of the year (Year)	0	0	1	2	3
M	**Depreciation during the year (D*J)**	**8.10**	**53.97**	**60.08**	**60.08**	**61.96**
N	Cumulative Depreciation at the end of the year	8.10	62.07	122.15	182.23	244.19
O	Remaining Aggregate Depreciable Value at the end of the year	807.39	857.80	901.96	841.88	811.90

(₹ in lakh)

Asset-5						
Sl. No.	**Particulars**	**2019-20 (pro-rata 255 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
A	Opening Capital Cost	551.04	551.04	551.04	551.04	551.04
B	Addition during the year 2019-24 due to ACE	0.00	0.00	0.00	0.00	0.00
C	Closing Capital Cost (A+B)	551.04	551.04	551.04	551.04	551.04
D	Average Capital Cost (A+C)/2	551.04	551.04	551.04	551.04	551.04
E	Average Capital Cost (90% depreciable assets)	551.04	551.04	551.04	551.04	551.04
F	Average Capital Cost (100% depreciable assets)	0.00	0.00	0.00	0.00	0.00
G	Depreciable value (excluding IT equipment and software) (E*90%)	495.94	495.94	495.94	495.94	495.94
H	Depreciable value of IT equipment and software (F*100%)	0.00	0.00	0.00	0.00	0.00
I	Total Depreciable Value (G+H)	495.94	495.94	495.94	495.94	495.94
J	Weighted average rate of Depreciation (WAROD) (in %)	3.6781%	1.9726%	1.9708%	1.9726%	1.9708%
K	Balance useful life at the beginning of the year (Year)	14	13	12	11	10
L	Elapsed useful life at the beginning of the year (Year)	11	12	13	14	15
M	**Depreciation during the year (D*J)**	**20.27**	**10.87**	**10.87**	**10.87**	**10.87**
N	Cumulative Depreciation at the end of the year	354.69	365.56	376.43	387.30	398.17
O	Remaining Aggregate Depreciable Value at the end of the year	141.25	130.38	119.51	108.64	97.77

39. The details of depreciation allowed vide the Commission's orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020 with respect to the transmission assets, depreciation claimed in the instant Petition and trued-up depreciation approved in the instant order are as follows:

(₹ in lakh)

Asset-1	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order 8.2.2021 in Petition No. 39/TT/2020	1163.78	1216.31	1232.07	1232.07	1232.07
Claimed by the Petitioner in the instant Petition	1137.00	1176.69	1207.69	1213.94	1223.63
Approved after trued-up in this order	1137.01	1176.69	1207.69	1213.94	1223.62

(₹ in lakh)

Asset-2	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	1421.76	2102.42	2142.06	2165.08	2172.76
Claimed by the Petitioner in the instant Petition	1421.75	2111.40	2145.96	2.149.75	2159.67
Approved after trued-up in this order	1421.57	2111.27	2145.96	2149.76	2159.67

(₹ in lakh)

Asset-3	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	245.66	317.17	340.03	353.74	358.32
Claimed by the Petitioner in the instant Petition	246.96	325.97	347.12	348.31	353.11
Approved after trued-up in this order	245.64	324.39	345.57	346.76	351.56

(₹ in lakh)

Asset-4	2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	8.11	54.57	63.15	66.01	66.97
Claimed by the Petitioner in the instant Petition	8.27	55.41	61.99	61.99	63.86
Approved after trued-up in this order	8.10	53.97	60.08	60.08	61.96

(₹ in lakh)

Asset-5	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	20.27	10.86	10.86	10.86	10.86
Claimed by the Petitioner in the instant Petition	20.27	10.87	10.87	10.86	10.87
Approved after trued-up in this order	20.27	10.87	10.86	10.87	10.86

Interest on Loan (IoL)

40. The Petitioner has claimed the Weighted Average Rate of Interest (WAROI) on loans based on its actual loan portfolio as per the prevailing rate of interest. The IoL has been calculated based on the actual interest rate submitted by the Petitioner in accordance with Regulation 32 of the 2019 Tariff Regulations. The trued-up IoL approved with respect to the transmission assets are as follows:

(₹ in lakh)

	Asset-1					
	Particular	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
	Interest on Loan					
A	Gross Normative Loan	14881.55	15147.01	15933.67	15969.12	16099.24
B	Cumulative Repayments upto Previous Year	929.81	2066.82	3243.52	4451.21	5665.15
C	Net Loan-Opening (A-B)	13951.74	13080.19	12690.15	11517.91	10434.08
D	Additions	265.47	786.65	35.46	130.12	126.71
E	Repayment during the year	1137.01	1176.69	1207.69	1213.94	1223.62
F	Net Loan-Closing (C+D-E)	13080.19	12690.15	11517.91	10434.08	9337.17
G	Average Loan (C+F)/2	13515.96	12885.17	12104.03	10976.00	9885.62
H	Weighted Average Rate of Interest on Loan (%)	7.6385	7.2965	7.2192	7.4142	7.6445
I	**Interest on Loan (G*H)**	**1032.42**	**940.16**	**873.81**	**813.78**	**755.71**

(₹ in lakh)

	Asset-2					
	Particular	**2019-20 (pro-rata 255 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
	Interest on Loan					
A	Gross Normative Loan	26429.55	27423.12	28308.53	28342.80	28409.29

	Asset-2					
	Particular	**2019-20 (pro-rata 255 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
B	Cumulative Repayments upto Previous Year	0.00	1421.57	3532.83	5678.79	7828.54
C	Net Loan-Opening (A-B)	26429.55	26001.55	24775.70	22664.01	20580.75
D	Additions	993.57	885.41	34.27	66.49	196.43
E	Repayment during the year	1421.57	2111.27	2145.96	2149.76	2159.67
F	Net Loan-Closing (C+D-E)	26001.55	24775.70	22664.01	20580.75	18617.51
G	Average Loan (C+F)/2	26215.55	25388.63	23719.86	21622.38	19599.13
H	Weighted Average Rate of Interest on Loan (%)	6.6465	6.3307	6.2048	6.3757	6.6081
I	**Interest on Loan (G*H)**	**1213.99**	**1607.28**	**1471.77**	**1378.57**	**1295.12**

(₹ in lakh)

	Asset-3					
	Particular	**2019-20 (pro-rata 305 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
	Interest on Loan					
A	Gross Normative Loan	3748.58	3978.35	4534.18	4539.97	4565.59
B	Cumulative Repayments upto Previous Year	0.00	245.64	570.03	915.61	1262.37
C	Net Loan-Opening (A-B)	3748.58	3732.71	3964.15	3624.36	3303.22
D	Additions	229.78	555.83	5.79	25.62	101.67
E	Repayment during the year	245.64	324.39	345.57	346.76	351.56
F	Net Loan-Closing (C+D-E)	3732.71	3964.15	3624.36	3303.22	3053.33
G	Average Loan (C+F)/2	3740.64	3848.43	3794.25	3463.79	3178.27
H	Weighted Average Rate of Interest on Loan (%)	7.5509	6.6195	6.4256	6.9548	7.6811
I	**Interest on Loan (G*H)**	**235.38**	**254.75**	**243.80**	**240.90**	**244.13**

(₹ in lakh)

	Asset-4					
	Particular	**2019-20 (pro-rata 62 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
	Interest on Loan					
A	Gross Normative Loan	634.16	634.38	796.53	796.53	796.53
B	Cumulative Repayments upto Previous Year	0.00	8.10	62.07	122.15	182.23
C	Net Loan-Opening (A-B)	634.16	626.28	734.46	674.38	614.30
D	Additions	0.22	162.15	0.00	0.00	49.75
E	Repayment during the year	8.10	53.97	60.08	60.08	61.96
F	Net Loan-Closing (C+D-E)	626.28	734.46	674.38	614.30	602.08
G	Average Loan (C+F)/2	630.22	680.37	704.42	644.34	608.19

	Asset-4					
	Particular	**2019-20 (pro-rata 62 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
H	Weighted Average Rate of Interest on Loan (%)	5.5820	5.5348	5.5966	5.7543	5.9373
I	**Interest on Loan (G*H)**	**5.96**	**37.66**	**39.42**	**37.08**	**36.11**

(₹ in lakh)

	Asset-5					
	Particular	**2019-20 (pro-rata 255 days)**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
	Interest on Loan					
A	Gross Normative Loan	385.73	385.73	385.73	385.73	385.73
B	Cumulative Repayments up to Previous Year	307.26	327.53	338.40	349.26	360.13
C	Net Loan-Opening (A-B)	78.47	58.20	47.33	36.47	25.60
D	Additions	0.00	0.00	0.00	0.00	0.00
E	Repayment during the year	20.27	10.87	10.86	10.87	10.86
F	Net Loan-Closing (C+D-E)	58.20	47.33	36.47	25.60	14.74
G	Average Loan (C+F)/2	68.33	52.77	41.90	31.04	20.17
H	Weighted Average Rate of Interest on Loan (%)	9.2000	9.2000	9.2000	9.2000	9.2000
I	**Interest on Loan (G*H)**	**4.38**	**4.85**	**3.85**	**2.86**	**1.86**

41. The details of IoL allowed vide the Commission's orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020 for the transmission assets, the IoL claimed in the instant Petition and trued-up IoL approved in the instant order are as follows:

(₹ in lakh)

Asset-1	**2019-20**	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Allowed vide order 8.2.2021 in Petition No. 39/TT/2020	1069.66	1030.34	951.57	855.95	759.45
Claimed by the Petitioner in the instant Petition	1032.42	940.17	873.82	813.78	755.71
Approved after trued-up in this order	1032.42	940.16	873.81	813.78	755.71

(₹ in lakh)

Asset-2	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	1233.61	1706.94	1591.49	1457.55	1310.61
Claimed by the Petitioner in the instant Petition	1214.14	1607.38	1471.75	1.378.56	1295.11
Approved after trued-up in this order	1213.99	1607.28	1471.77	1378.57	1295.12

(₹ in lakh)

Asset-3	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	244.34	293.92	292.06	279.08	255.24
Claimed by the Petitioner in the instant Petition	236.65	255.97	244.87	241.95	245.17
Approved after trued-up in this order	235.38	254.75	243.80	240.90	244.13

(₹ in lakh)

Asset-4	2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	5.97	38.56	41.77	40.27	37.24
Claimed by the Petitioner in the instant Petition	6.08	38.99	40.70	38.28	37.23
Approved after trued-up in this order	5.96	37.66	39.42	37.08	36.11

(₹ in lakh)

Asset-5	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	4.19	4.65	3.69	2.73	1.78
Claimed by the Petitioner in the instant Petition	4.38	4.85	3.85	2.85	1.86
Approved after trued-up in this order	4.38	4.85	3.85	2.86	1.86

Return on Equity (RoE)

42. The Petitioner has submitted that its Income Tax Assessment has been completed for the FY 2019- 20 and FY 2020-21, and assessment orders have been issued by the Income Tax Department, and the income has been assessed under MAT [115JB of the Income Tax Act, 1961(IT Act, 1961)]. The Petitioner has further submitted that the Income Tax Returns (ITR) have been filed for the FY 2021-22, FY 2022-23 and FY 2023-24.

43. The Petitioner has further submitted that it is liable to pay the income tax at the MAT rates (17.472%, i.e., 15% Income Tax +12% Surcharge on Income Tax+4% Health and Education Cess on Income Tax and Surcharge) and has claimed the following effective tax rates for the 2019-24 tariff period:

Year	Claimed effective tax rate (in %)	Grossed-up RoE [(Base Rate)/(1-t)] (in %)
2019-20	17.472	18.782
2020-21	17.472	18.782
2021-22	17.472	18.782
2022-23	17.472	18.782
2023-24	17.472	18.782

44. We have considered the Petitioner's submissions and have also gone through the record. We noted that the entities covered under the MAT regime are paying Income Tax as per the MAT rates notified for the respective financial year under the IT Act, 1961, which is levied on the book profit of the entity computed as per Section 115 JB of the IT Act, 1961. Section 115 JB(2) defines book profit as net profit in the Statement of Profit and Loss prepared in accordance with Schedule-II of the Companies Act, 2013, subject to some additions and deductions as mentioned in the IT Act, 1961. Since the Petitioner has been paying the MAT rates of the respective financial year, the notified MAT rates for the respective financial year shall be considered as an effective tax rate

for the purpose of grossing up the RoE for truing up the 2019-24 tariff period in terms of the provisions of the 2019 Tariff Regulations. Interest imposed on any additional income tax demand as per the Assessment Order of the Income Tax Authorities shall be considered on the actual payment. However, the penalty (for default on the part of the Assessee), if any, imposed shall not be taken into account for the purpose of grossing up of the rate of RoE. Any under recovery or over-recovery of the grossed-up rates on the RoE after truing up shall be recovered or refunded to the beneficiaries or the long-term customers, as the case may be on a year-to-year basis. Therefore, the following effective tax rate based on the notified MAT rates are considered for the purpose of grossing up the rate of RoE:

Year	Notified MAT rates (in %) (inclusive of surcharge & cess)	Effective Tax (in %)	Base rate of RoE (in %)	Grossed-up RoE [(Base Rate)/(1-t)] (in %)
2019-20	17.472	17.472	15.500	18.782
2020-21	17.472	17.472	15.500	18.782
2021-22	17.472	17.472	15.500	18.782
2022-23	17.472	17.472	15.500	18.782
2023-24	17.472	17.472	15.500	18.782

45. Accordingly, the trued-up RoE allowed with respect to the transmission assets for the 2019-24 tariff period are as follows:

(₹ in lakh)

	Particulars	Asset-1				
		2019-20	2020-21	2021-22	2022-23	2023-24
	Return on Equity					
A	Opening Equity	6377.81	6491.58	6828.71	6843.91	6899.67
B	Additions	113.77	337.14	15.20	55.76	54.30
C	Closing Equity (A+B)	6491.58	6828.71	6843.91	6899.67	6953.98
D	Average Equity (A+C)/2	6434.69	6660.15	6836.31	6871.79	6926.82
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**1208.56**	**1250.91**	**1284.00**	**1290.66**	**1301.00**

(₹ in lakh)

	Particulars	Asset-2				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
	Return on Equity					
A	Opening Equity	11326.95	11752.77	12132.23	12146.92	12175.41
B	Additions	425.82	379.46	14.69	28.49	84.18
C	Closing Equity (A+B)	11752.77	12132.23	12146.92	12175.41	12259.59
D	Average Equity (A+C)/2	11539.86	11942.50	12139.57	12161.16	12217.50
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**1510.09**	**2243.04**	**2280.05**	**2284.11**	**2294.69**

(₹ in lakh)

	Particulars	Asset-3				
		2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
	Return on Equity					
A	Opening Equity	1606.53	1705.01	1943.22	1945.70	1956.68
B	Additions	98.48	238.21	2.48	10.98	43.57
C	Closing Equity (A+B)	1705.01	1943.22	1945.70	1956.68	2000.25
D	Average Equity (A+C)/2	1655.77	1824.11	1944.46	1951.19	1978.47
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**259.16**	**342.60**	**365.21**	**366.47**	**371.60**

(₹ in lakh)

	Particulars	Asset-4				
		2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
	Return on Equity					
A	Opening Equity	271.78	271.88	341.37	341.37	341.37
B	Additions	0.09	69.49	0.00	0.00	21.32
C	Closing Equity (A+B)	271.88	341.37	341.37	341.37	362.69
D	Average Equity (A+C)/2	271.83	306.62	341.37	341.37	352.03
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (in %)	17.472	17.472	17.472	17.472	17.472

	Particulars	Asset-4				
		2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**8.65**	**57.59**	**64.12**	**64.12**	**66.12**

(₹ in lakh)

	Particulars	Asset-5				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
	Return on Equity					
A	Opening Equity	165.31	165.31	165.31	165.31	165.31
B	Additions	0.00	0.00	0.00	0.00	0.00
C	Closing Equity (A+B)	165.31	165.31	165.31	165.31	165.31
D	Average Equity (A+C)/2	165.31	165.31	165.31	165.31	165.31
E	Return on Equity (Base Rate) (in %)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (in %)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (in %)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**21.63**	**31.05**	**31.05**	**31.05**	**31.05**

46. The details of RoE allowed vide the Commission's orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020 for the transmission assets, RoE claimed in the instant Petition and trued-up RoE approved in the instant order are as follows:

(₹ in lakh)

Asset-1	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order 8.2.2021 in Petition No. 39/TT/2020	1237.09	1293.15	1309.97	1309.97	1309.97
Claimed by the Petitioner in the instant Petition	1208.57	1250.91	1284.00	1290.66	1301.00
Approved after trued-up in this order	1208.56	1250.91	1284.00	1290.66	1301.00

(₹ in lakh)

Asset-2	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	1510.28	2233.60	2275.90	2300.47	2308.66
Claimed by the Petitioner in the instant Petition	1510.29	2243.18	2280.06	2284.11	2294.69
Approved after trued-up in this order	1510.09	2243.04	2280.05	2284.11	2294.69

(₹ in lakh)

Asset-3	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	259.18	334.89	359.29	373.92	378.80
Claimed by the Petitioner in the instant Petition	260.56	344.26	366.84	368.10	373.23
Approved after trued-up in this order	259.16	342.60	365.21	366.47	371.60

(₹ in lakh)

Asset-4	2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	8.66	58.23	67.39	70.45	71.46
Claimed by the Petitioner in the instant Petition	8.83	59.13	66.15	66.15	68.15
Approved after trued-up in this order	8.65	57.59	64.12	64.12	66.12

(₹ in lakh)

Asset-5	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	21.63	31.05	31.05	31.05	31.05
Claimed by the Petitioner in the instant Petition	21.63	31.05	31.05	31.05	31.05
Approved after trued-up in this order	21.63	31.05	31.05	31.05	31.05

Operation & Maintenance Expenses (O&M Expenses)

47. The Petitioner has claimed the following O&M Expenses in the instant Petition:

(₹ in lakh)

Asset	Transmission Assets				
	2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Asset-1	191.95	198.66	205.63	212.88	220.30
Asset-2	197.43	293.26	303.56	314.26	325.22
Asset-3	678.05	841.88	871.68	903.09	934.59
Asset-4	5.45	33.28	34.45	35.66	36.91
Asset-5	0.00	0.00	0.00	0.00	0.00
Total	1072.88	1367.08	1415.32	1465.89	1517.02

48. We have considered the Petitioner's submissions. The O&M Expenses approved for the instant transmission assets as per Regulation 35(3) of the 2019 Tariff Regulations are as follows:

(₹ in lakh)

Particulars	Asset-1				
	2019-20	**2020-21**	**2021-22**	**2022-23**	**2023-24**
Double Circuit (Bundled with Four Sub-Conductors): • 400 kV D/C (Quad) Nabinagar-II-Gaya Line: Length of Line:92.00 km.					
Norm (₹ lakh per bay)	1.322	1.368	1.416	1.466	1.517
O&M Expenses	121.62	125.86	130.27	134.87	139.56
Multiple Circuit (With Four or more Sub-Conductors): • 400 kV D/C (Quad) Nabinagar-II-Gaya Line: Length of Line:2.60 km.					
Norm (₹ lakh per bay)	2.319	2.401	2.485	2.572	2.662
O&M Expenses	6.03	6.24	6.46	6.69	6.92
400 kV Sub-station (Total Bays:2): **Gaya Sub-station:** • 1 No. 400 kV Nabinagar Bay-I, Gaya • 1 No. 400 kV Nabinagar Bay-II, Gaya					
Norm (₹ lakh per bay)	32.15	33.28	34.45	35.66	36.91
O&M Expenses	64.30	66.56	68.90	71.32	73.82

(₹ in lakh)

Particulars	Asset-1				
	2019-20	2020-21	2021-22	2022-23	2023-24
Total O&M Expenses	191.95	198.66	205.63	212.88	220.30

(₹ in lakh)

Particulars	Asset-2				
	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Double Circuit (Bundled with Four Sub-Conductors): • 400 KV D/C Nabinagar-Patna Line: Length of Line: 141.391.					
Norm (₹ lakh per bay)	1.322	1.368	1.416	1.466	1.517
O&M Expenses	130.58	193.42	200.21	207.28	214.49
400 kV Sub-station (Total Bays:3): **Patna Sub-station:** • 2 Nos. 400 kV Line Bays for Patna S/S. • 1 No. 400 kV SLR Bay at Patna S/S.					
Norm (₹ lakh per bay)	32.15	33.28	34.45	35.66	36.91
O&M Expenses	64.30	66.56	68.90	71.32	73.82
Total O&M Expenses	**197.43**	**293.26**	**303.56**	**314.26**	**325.22**

(₹ in lakh)

Particulars	Asset-3				
	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
765 kV Sub-station (Total Bays:1): **Gaya Sub-station:** • 1 No. 765 kV ICT-IV Bay at Gaya S/S.					
Norm (₹ lakh per bay)	45.01	46.60	48.23	49.93	51.68
O&M Expenses	37.51	46.60	48.23	49.93	51.68

(₹ in lakh)

Particulars	Asset-1				
	2019-20	2020-21	2021-22	2022-23	2023-24
400 kV Sub-station (Total Bays:1): **Gaya Sub-station:** • 1 No. 400 kV ICT-IV Bay at Gaya S/S.					
Norm (₹ lakh per bay)	32.15	33.28	34.45	35.66	36.91
O&M Expenses	26.79	33.28	34.45	35.66	36.91
765 KV Sub-Station (Total Capacity: 1500 MVA): **Gaya Sub-Station:** • 1 No. 765 KV 1500 MVA ICT-IV.					
Norm (₹ lakh per MVA)	0.491	0.508	0.526	0.545	0.564
O&M Expenses	613.75	762.00	789.00	817.50	846.00
Total O&M Expenses	**678.05**	**841.88**	**871.68**	**903.09**	**934.59**

(₹ in lakh)

Particulars	Asset-4				
	2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
400 kV Sub-station (Total Bays:1): **Patna Sub-station:** • 1 No. 400 kV SLR Bay at Patna S/S.					
Norm (₹ lakh per bay)	32.15	33.28	34.45	35.66	36.91
O&M Expenses	5.45	33.28	34.45	35.66	36.91
Total O&M Expenses	5.45	33.28	34.45	35.66	36.91

49. Accordingly, the details of O&M Expanses allowed vide the Commission's orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020 for the transmission assets, O&M Expenses claimed in the instant Petition and trued-up O&M Expenses approved in the instant order are as follows:

(₹ in lakh)

Asset-1	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order 8.2.2021 in Petition No. 39/TT/2020	191.95	198.66	205.63	212.88	220.31
Claimed by the Petitioner in the instant Petition	191.95	198.66	205.63	212.88	220.30
Approved after trued-up in this order	191.95	198.66	205.63	212.88	220.31

(₹ in lakh)

Asset-2	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	197.43	293.26	303.56	314.26	325.22
Claimed by the Petitioner in the instant Petition	197.43	293.26	303.56	314.26	325.22
Approved after trued-up in this order	197.43	293.26	303.56	314.26	325.22

(₹ in lakh)

Asset-3	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	678.05	841.88	871.68	903.09	934.59
Claimed by the Petitioner in the instant Petition	678.05	841.88	871.68	903.09	934.59
Approved after trued-up in this order	678.05	841.88	871.68	903.09	934.59

(₹ in lakh)

Asset-4	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	5.45	33.28	34.45	35.66	36.91
Claimed by the Petitioner in the instant Petition	5.45	33.28	34.45	35.66	36.91
Approved after trued-up in this order	5.45	33.28	34.45	35.66	36.91

Interest on Working Capital (IWC)

50. IWC has been worked out in accordance with Regulation 34 of the 2019 Tariff Regulations. The Rate of Interest (ROI) considered is 12.05% (SBI 1-year MCLR applicable as on 1.4.2019 of 8.55% plus 350 basis points) for the FY 2019-20, 11.25% (SBI 1-year MCLR applicable as on 1.4.2020 of 7.75% plus 350 basis points) for the FY 2020-21, 10.50% (SBI 1-year MCLR applicable as on 1.4.2021 of 7.00% plus 350 basis points) for the FY 2021-22 and FY 2022-23 and 12.00% (SBI 1-year MCLR applicable as on 1.4.2023 of 8.50% plus 350 basis points) for the FY 2023-24. The components of the working capital and interest allowed thereon for the transmission assets for 2019-24 tariff period are as follows:

(₹ in lakh)

	Particulars	Asset-1				
		2019-20	2020-21	2021-22	2022-23	2023-24
	Interest on Working Capital					
A	Working Capital for O&M Expenses (O&M Expenses for one month)	16.00	16.55	17.14	17.74	18.36
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	28.79	29.80	30.84	31.93	33.05
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	446.20	446.53	446.68	441.72	437.63
D	**Total Working Capital (A+B+C)**	**490.99**	**492.89**	**494.66**	**491.39**	**489.04**
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**59.16**	**55.45**	**51.94**	**51.60**	**58.68**

(₹ in lakh)

	Particulars	Asset-2				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
	Interest on Working Capital					
A	Working Capital for O&M Expenses (O&M Expenses for one month)	23.61	24.44	25.30	26.19	27.10

	Particulars	Asset-2				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	42.51	43.99	45.53	47.14	48.78
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	778.94	782.95	775.50	766.21	759.21
D	**Total Working Capital (A+B+C)**	**845.06**	**851.38**	**846.34**	**839.54**	**835.10**
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**70.95**	**95.78**	**88.87**	**88.15**	**100.21**

(₹ in lakh)

	Particulars	Asset-3				
		2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
	Interest on Working Capital					
A	Working Capital for O&M Expenses (O&M Expenses for one month)	67.81	70.16	72.64	75.26	77.88
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	122.05	126.28	130.75	135.46	140.19
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	215.25	223.25	230.78	234.74	240.60
D	**Total Working Capital (A+B+C)**	**405.10**	**419.69**	**434.17**	**445.46**	**458.68**
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**40.68**	**47.22**	**45.59**	**46.77**	**55.04**

(₹ in lakh)

	Particulars	Asset-4				
		2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
	Interest on Working Capital					
A	Working Capital for O&M Expenses (O&M Expenses for one month)	2.68	2.77	2.87	2.97	3.08

	Particulars	Asset-4				
		2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	4.82	4.99	5.17	5.35	5.54
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	20.86	22.93	24.85	24.71	25.22
D	**Total Working Capital (A+B+C)**	**28.36**	**30.69**	**32.88**	**33.03**	**33.84**
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**0.58**	**3.45**	**3.45**	**3.47**	**4.06**

(₹ in lakh)

	Particulars	Asset-5				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
	Interest on Working Capital					
A	Working Capital for O&M Expenses (O&M Expenses for one month)	0.00	0.00	0.00	0.00	0.00
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	0.00	s0.00	0.00	0.00	0.00
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	8.29	5.85	5.72	5.59	5.46
D	**Total Working Capital (A+B+C)**	**8.29**	**5.85**	**5.72**	**5.59**	**5.46**
E	Rate of Interest for working capital (in %)	12.05	11.25	10.50	10.50	12.00
F	**Interest on Working Capital (D*E)**	**0.70**	**0.66**	**0.60**	**0.59**	**0.66**

51. The details of IWC allowed vide the Commission's orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020 for the transmission assets, claimed in the instant Petition and trued-up IWC approved in the instant order are as follows:

(₹ in lakh)

Asset-1	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order 8.2.2021 in Petition No. 39/TT/2020	60.56	57.87	57.50	56.45	55.26
Claimed by the Petitioner in the instant Petition	59.16	55.45	51.94	51.60	58.68
Approved after trued-up in this order	59.16	55.45	51.94	51.60	58.68

(₹ in lakh)

Asset-2	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	71.25	96.93	90.33	90.47	88.93
Claimed by the Petitioner in the instant Petition	70.95	95.79	88.86	88.15	100.21
Approved after trued-up in this order	70.95	95.78	88.87	88.15	100.21

(₹ in lakh)

Asset-3	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	40.81	47.56	46.07	47.92	48.87
Claimed by the Petitioner in the instant Petition	40.74	47.28	45.64	46.83	55.10
Approved after trued-up in this order	40.68	47.22	45.59	46.77	55.04

(₹ in lakh)

Asset-4	2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	0.58	3.48	3.57	3.71	3.73
Claimed by the Petitioner in the instant Petition	0.59	3.51	3.52	3.54	4.14
Approved after trued-up in this order	**0.58**	**3.45**	**3.45**	**3.47**	**4.06**

(₹ in lakh)

Asset-5	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	0.69	0.65	0.60	0.59	0.58

Asset-5	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Claimed by the Petitioner in the instant Petition	0.70	0.66	0.60	0.59	0.66
Approved after trued-up in this order	0.70	0.66	0.60	0.59	0.66

Trued-up Annual Fixed Charges for the 2019-24 Tariff Period

52. Accordingly, the Annual Fixed Charges approved after the truing up for the 2019-24 tariff period with respect to the transmission assets are as follows:

(₹ in lakh)

	Particulars	Asset-1				
		2019-20	2020-21	2021-22	2022-23	2023-24
A	Depreciation	1137.01	1176.69	1207.69	1213.94	1223.62
B	Interest on Loan	1032.42	940.16	873.81	813.78	755.71
C	Return on Equity	1208.56	1250.91	1284.00	1290.66	1301.00
D	O&M Expenses	191.95	198.66	205.63	212.88	220.31
E	Interest on Working Capital	59.16	55.45	51.94	51.60	58.68
F	**Total (A+B+C+D+E)**	**3629.10**	**3621.87**	**3623.07**	**3582.86**	**3559.32**

(₹ in lakh)

	Particulars	Asset-2				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
A	Depreciation	1421.57	2111.27	2145.96	2149.76	2159.67
B	Interest on Loan	1213.99	1607.28	1471.77	1378.57	1295.12
C	Return on Equity	1510.09	2243.04	2280.05	2284.11	2294.69
D	O&M Expenses	197.43	293.26	303.56	314.26	325.22
E	Interest on Working Capital	70.95	95.78	88.87	88.15	100.21
F	**Total (A+B+C+D+E)**	**4414.03**	**6350.63**	**6290.21**	**6214.85**	**6174.91**

(₹ in lakh)

	Particulars	Asset-3				
		2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
A	Depreciation	245.64	324.39	345.57	346.76	351.56
B	Interest on Loan	235.38	254.75	243.80	240.90	244.13
C	Return on Equity	259.16	342.60	365.21	366.47	371.60
D	O&M Expenses	678.05	841.88	871.68	903.09	934.59
E	Interest on Working Capital	40.68	47.22	45.59	46.77	55.04
F	**Total (A+B+C+D+E)**	**1458.91**	**1810.84**	**1871.85**	**1904.00**	**1956.92**

(₹ in lakh)

	Particulars	Asset-4				
		2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
A	Depreciation	8.10	53.97	60.08	60.08	61.96
B	Interest on Loan	5.96	37.66	39.42	37.08	36.11
C	Return on Equity	8.65	57.59	64.12	64.12	66.12
D	O&M Expenses	5.45	33.28	34.45	35.66	36.91
E	Interest on Working Capital	0.58	3.45	3.45	3.47	4.06
F	**Total (A+B+C+D+E)**	**28.74**	**185.95**	**201.52**	**200.41**	**205.16**

(₹ in lakh)

	Particulars	Asset-5				
		2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
A	Depreciation	20.27	10.87	10.87	10.87	10.87
B	Interest on Loan	4.38	4.85	3.85	2.86	1.86
C	Return on Equity	21.63	31.05	31.05	31.05	31.05
D	O&M Expenses	0.00	0.00	0.00	0.00	0.00
E	Interest on Working Capital	0.70	0.66	0.60	0.59	0.66
F	**Total (A+B+C+D+E)**	**46.98**	**47.43**	**46.36**	**45.37**	**44.43**

53. The details of AFC allowed vide orders dated 27.5.2022 in Petition No. 675/TT/2020 and 8.2.2021 in Petition No. 39/TT/2020 for the transmission assets, AFC claimed in the instant Petition and trued-up AFC approved in the instant order are as follows:

(₹ in lakh)

Asset-1	2019-20	2020-21	2021-22	2022-23	2023-24
Allowed vide order 8.2.2021 in Petition No. 39/TT/2020	3723.04	3796.33	3756.75	3667.32	3577.07
Claimed by the Petitioner in the instant Petition	3629.10	3621.88	3623.08	3582.86	3559.32
Approved after true-up in this order	3629.10	3621.87	3623.07	3582.86	3559.32

(₹ in lakh)

Asset-2	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	4434.32	6433.16	6403.33	6327.83	6206.18
Claimed by the Petitioner in the instant Petition	4414.56	6351.01	6290.19	6214.83	6174.90
Approved after true-up in this order	4414.03	6350.63	6290.21	6214.85	6174.91

(₹ in lakh)

Asset-3	2019-20 (pro-rata 305 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	1468.04	1835.42	1909.13	1957.75	1975.81
Claimed by the Petitioner in the instant Petition	1462.96	1815.36	1876.15	1908.28	1961.20
Approved after true-up in this order	1458.91	1810.84	1871.85	1904.00	1956.92

(₹ in lakh)

Asset-4	2019-20 (pro-rata 62 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	28.76	188.12	210.33	216.09	216.32
Claimed by the Petitioner in the instant Petition	29.22	190.32	206.81	205.62	210.29
Approved after true-up in this order	28.74	185.95	201.52	200.41	205.16

(₹ in lakh)

Asset-5	2019-20 (pro-rata 255 days)	2020-21	2021-22	2022-23	2023-24
Allowed vide order dated 27.5.2022 in Petition No. 675/TT/2020	46.79	47.22	46.20	45.24	44.27
Claimed by the Petitioner in the instant Petition	46.98	47.43	46.37	45.35	44.44
Approved after true-up in this order	46.98	47.43	46.36	45.37	44.43

Determination of Annual Fixed Charges for the 2024-29 Tariff Period

54. The Petitioner has combined Asset-1, Asset-2, Asset-3, and Asset-4 in the instant Petition and claimed the following transmission charges with respect to the Combined Asset and Asset-5 separately for the 2024-29 tariff period:

(₹ in lakh)

	Combined Asset				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Depreciation	3849.79	3854.49	3836.42	3827.94	3797.40
Interest on Loan	2084.15	1805.99	1530.17	1252.88	981.28
Return on Equity	4065.84	4075.51	4075.51	4075.51	4075.51
Interest on Working Capital	191.54	189.87	187.81	185.61	184.21
O&M Expenses	990.17	1042.61	1096.44	1153.86	1216.01
Total	**11181.49**	**10968.47**	**10726.35**	**10495.80**	**10254.41**

(₹ in lakh)

	Asset-5				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Depreciation	10.86	10.87	10.86	10.87	10.86
Interest on Loan	0.86	0.18	0.00	0.00	0.00
Return on Equity	31.05	31.05	31.05	31.05	31.05
Interest on Working Capital	1.54	1.58	1.62	1.67	1.73
O&M Expenses	20.96	22.08	23.20	24.40	25.76
Total	**65.27**	**65.76**	**66.73**	**67.99**	**69.40**

55. The Petitioner has claimed the following IWC with respect to the Combined Asset and Asset-5 separately for the 2024-29 tariff period:

(₹ in lakh)

	Combined Asset				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
O&M Expenses	82.51	86.88	91.37	96.16	101.33
Maintenance Spares	148.53	156.39	164.47	173.08	182.40
Receivables	1378.54	1352.28	1322.43	1290.47	1264.24
Total Working Capital	**1609.58**	**1595.55**	**1578.27**	**1559.71**	**1547.97**
Rate of Interest (%)	11.90	11.90	11.90	11.90	11.90
Interest on Working Capital	**191.54**	**189.87**	**187.81**	**185.61**	**184.21**

(₹ in lakh)

	Asset-5				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
O&M Expenses	1.75	1.84	1.93	2.03	2.15
Maintenance Spares	3.14	3.31	3.48	3.66	3.86
Receivables	8.05	8.11	8.23	8.36	8.56
Total Working Capital	**12.94**	**13.26**	**13.64**	**14.05**	**14.57**
Rate of Interest (%)	11.90	11.90	11.90	11.90	11.90
Interest on Working Capital	**1.54**	**1.58**	**1.62**	**1.67**	**1.73**

Effective Date of Commercial Operation (E-COD)

56. The Petitioner has claimed the E-COD with respect to the Combined Asset as 2.3.2019, considering that the CODs for Asset-1, Asset-2, Asset-3, and Asset-4 are 12.5.2018, 21.7.2019, 1.6.2019, and 30.1.2020, respectively. We have considered the Petitioner's submission and allowed the E-COD with respect to the transmission assets (Asset 1 to Asset 4) as on 1.3.2019.

(₹ in lakh)

Asset	**Trued-up Capital Cost as on 31.3.2024 (₹ in lakh)**	**COD**	**No. of days from the last COD**	**Weight of cost (in %)**	**Weighted days**
Asset 1	23179.92	12.5.2018	628.00	32.23%	202.40
Asset 2	40865.31	21.7.2019	193.00	56.82%	109.66
Asset 3	6667.51	1.6.2019	243.00	9.27%	22.53
Asset 4	1208.97	30.1.2020	0.00	1.68%	0.00
Total	**71921.71**			**1.00**	**334.59**
Effective COD					**1.3.2019**

57. E-COD has been used to determine the elapsed life of the project, which works out as 5 year as on 1.4.2024 (i.e., the number of completed years as on 1.4.2024 from E-COD).

Capital Cost

58. Regulation 19 of the 2024 Tariff Regulations provides as under:

"19. Capital Cost: *(1) The Capital cost of the generating station or the transmission system, as the case may be, as determined by the Commission after prudence checks in accordance with these regulations shall form the basis for the determination of tariff for existing and new projects.*

(2) The Capital Cost of a new project shall include the following:

(a) The expenditure incurred or projected to be incurred up to the date of commercial operation of the project;
(b) Interest during construction and financing charges, on the loans (i) being equal to 70% of the funds deployed and, in the event actual equity is in excess of 30% on a pari-passu basis, by treating the excess equity over and above 30% of the funds deployed as a normative loan, or (ii) being equal to the actual amount of the loan in the event of actual equity being less than 30% of the funds deployed;
(c) Any gain or loss on account of foreign exchange risk variation pertaining to the loan amount availed during the construction period;
(d) Interest during construction and incidental expenditure during construction as computed in accordance with these regulations;
(e) Capitalised initial spares subject to the ceiling rates in accordance with these regulations;
(f) Expenditure on account of additional capitalization and de-capitalisation determined in accordance with these regulations;
(g) Adjustment of revenue due to the sale of infirm power in excess of fuel cost prior to the date of commercial operation as specified under Regulation 6 of these regulations;
(h) Adjustment of revenue earned by the transmission licensee by using the assets before the date of commercial operation;
(i) Capital expenditure on account of ash disposal and utilization including handling and transportation facility;
(j) Capital expenditure incurred towards railway infrastructure and its augmentation for transportation of coal up to the receiving end of the generating station but does not include the transportation cost and any other appurtenant cost paid to the railway;
(k) Capital expenditure on account of biomass handling equipment and facilities, for co-firing;
(l) Capital expenditure on account of emission control system necessary to meet the revised emission standards and sewage treatment plant;
(m) Expenditure on account of the fulfilment of any conditions for obtaining environment clearance for the project;

(n) Expenditure on account of change in law and force majeure events; and
(o)……
(p)……

(3) The Capital cost of an existing project shall include the following:

(a) Capital cost admitted by the Commission prior to 1.4.2024 duly trued up by excluding liability, if any, as on 1.4.2024;

(b) Additional capitalization and de-capitalization for the respective year of tariff as determined in accordance with these regulations;

(c) Capital expenditure on account of renovation and modernisation as admitted by this Commission in accordance with these regulations;

(d) to (h)……..

(i) Expenditure on account of change in law and force majeure events;

(4) & (5) ……

(6) The following shall be excluded from the capital cost of the existing and new projects:

(a) The assets forming part of the project but not in use, as declared in the tariff petition;

(b) De-capitalised Assets after the date of commercial operation on account of obsolescence;

(c) De-capitalised Assets on account of upgradation or shifting from one project to another project:

Provided that in case such an asset is recommended for further utilisation by the Regional Power Committee in consultation with CTU, such asset shall be decapitalised from the original project only after its redeployment;

Provided further that unless shifting of an asset from one project to another is of a permanent nature, there shall be no de-capitalization of the concerned assets.

(d)……

(e) Proportionate cost of land of the existing generation or transmission project, as the case may be, which is being used for generating power from a generating station based on renewable energy as may be permitted by the Commission; and

(f) Any grant received from the Central or State Government or any statutory body or authority for the execution of the project that does not carry any liability of repayment."

59. The Petitioner has claimed the following capital cost of the transmission assets during the 2024-29 tariff period:

(₹ in lakh)

Asset Details	**Apportioned cost as per FR**	**Expenditure as on 1.4.2024**	**Estimated expenditure during 2024-29 block**					**Estimated completion cost as on 31.3.2029**
			2024-25	**2025-26**	**2025-27**	**2027-28**	**2028-29**	
Combined Asset	79013.00	71921.71	343.30	0.00	0.00	0.00	0.00	72265.01
Asset-5	0.00*	551.04	0.00	0.00	0.00	0.00	0.00	551.04

**The Petitioner has submitted that FR cost of Asset-I(b) had already been approved vide order dated 11.9.2021 in Petition No. 86/TT/2020 (original project) and not included in FR cost of subject transmission project.*

60. We have considered the Petitioner's submissions. The trued-up capital cost for the Combined Asset amounting to ₹71921.71 lakh is being considered as the capital cost as on 1.4.2024 and the trued-up capital cost of ₹551.04 lakh admitted by the Commission as on 31.3.2024 for Asset-5, is being considered as the capital cost as on 1.4.2024 for determination of Annual Fixed Charges for the 2024-29 tariff period in the instant Petition, in accordance with Regulation 19(3)(a) of the 2024 Tariff Regulations.

Weighted Average Life ("WAL")

61. The life as defined in Regulation 33 of the 2024 Tariff Regulations has been considered for the determination of WAL. The Combined Asset may have multiple elements such as land, building, transmission line, sub-station, and PLCC, and each element may have a different span of life. Therefore, the concept of WAL has been used as the useful life of the transmission system as a whole.

62. WAL has been determined based on the admitted capital cost of individual elements under the transmission system as on 1.3.2019 (E-COD) and their respective life as stipulated in the 2024 Tariff Regulations. Accordingly, WAL with respect to the transmission assets have been worked out as 33 years as follows:

(₹ in lakh)

Particulars	Combined Asset Cost (₹ in lakh) (1)	Life as per the 2024 Tariff Regulation (Years) (2)	Weighted Cost (3) = (1)x(2)	Weighted Average Life of Asset (in years) (4) = (3)/ (1)
Land - Freehold	0.00	0	0.00	33.24 years
Land - Leasehold	0.00	0	0.00	
Building Civil Works & Colony	0.00	25	0.00	
Transmission Line	60091.53	35	2103203.55	
Sub Station	11420.72	25	285518.10	
PLCC	260.11	7	1820.77	
IT Equipment including software	149.34	7	1045.41	

Particulars	Combined Asset Cost (₹ in lakh) (1)	Life as per the 2024 Tariff Regulation (Years) (2)	Weighted Cost (3) = (1)x(2)	Weighted Average Life of Asset (in years) (4) = (3)/ (1)
Total	**71921.71**		**2391587.82**	**33**

63. WAL as on 1.3.2019 (E-COD), as determined above is applicable prospectively (i.e., for the 2024-29 tariff period onwards), and no retrospective adjustment of depreciation in the previous tariff period is required to be done. As discussed in the above, E-COD of the Combined Asset is 1.3.2019, and the elapsed life of the project as a whole works out as 5 years as on 1.4.2024 (i.e., the number of completed years as on 1.4.2024 from E-COD). Accordingly, WAL has been used to determine the remaining useful life as on 1.4.2024 to be 28 years.

Additional Capital Expenditure (ACE)

64. Regulation 24 and 25 of the 2024 Tariff Regulations provides as under:

"24. Additional Capitalisation within the original scope and up to the cut-off date

(1) The additional capital expenditure in respect of a new project or an existing project incurred or projected to be incurred, on the following counts within the original scope of work, after the date of commercial operation and up to the cut-off date may be admitted by the Commission, subject to prudence check:

(a) Payment made towards admitted liabilities for works executed up to the cut-off date;
(b) Works deferred for execution;
(c) Procurement of initial capital spares within the original scope of work, in accordance with the provisions of Regulation 23 of these regulations;
(d) Payment against the award of arbitration or for compliance with the directions or order of any statutory authority or order or decree of any court of law;
(e) Change in law or compliance with any existing law which is not provided for in the original scope of work;
(f) For uninterrupted and timely development of Hydro projects, expenditure incurred towards developing local infrastructure in the vicinity of the power plant not exceeding Rs. 10 lakh/MW shall be considered as part of capital cost and in case the same work is covered under budgetary support provided by Government of India, the funding of such works shall be adjusted on receipt of such funds;
Provided that such expenditure shall be allowed only if the expenditure is incurred through Indian Governmental Instrumentality; and

(g) Force Majeure events:

Provided that in case of any replacement of the assets, the additional capitalization shall be worked out after adjusting the gross fixed assets and cumulative depreciation of the assets replaced on account of de-capitalization.

(2) The generating company or the transmission licensee, as the case may be shall submit the details of works asset wise/work wise included in the original scope of work along with estimates of expenditure, liabilities recognized to be payable at a future date and the works deferred for execution."

25. Additional Capitalisation within the original scope and after the cut-off date

(1) The additional capital expenditure incurred or projected to be incurred in respect of an existing project or a new project on the following counts within the original scope of work and after the cut-off date may be admitted by the Commission, subject to prudence check:

(a) Payment made against award of arbitration or for compliance with the directions or order of any statutory authority; or order or decree of any court of law;
(b) Change in law or compliance of any existing law which is not provided for in the original scope of work;
(c) Deferred works relating to ash pond or ash handling system or raising of ash dyke in the original scope of work;
(d) Payment made towards liability admitted for works within the original scope executed prior to the cut-off date;
(e) Force Majeure events;
(f) Works within original scope executed after the cut-off date and admitted by the Commission, to the extent of actual payments made; and

(2) In case of replacement of assets deployed under the original scope of the existing project after cut-off date, the additional capitalization may be admitted by the Commission, after making necessary adjustments in the gross fixed assets and the cumulative depreciation, subject to prudence check on the following grounds:

(a) The useful life of the assets is not commensurate with the useful life of the project and such assets have been fully depreciated in accordance with the provisions of these regulations;
(b) The replacement of the asset or equipment is necessary on account of change in law or Force Majeure conditions;
(c) The replacement of such asset or equipment is necessary on account of obsolescence of technology; and
(d) The replacement of such asset or equipment has otherwise been allowed by the Commission.
(e) The additional expenditure, excluding recurring expenses covered in O&M expenses, involved in relation to the renewal of lease of lease hold land on case to case basis.

Provided that any claim of additional capitalization with respect to the replacement of assets under the original scope and on account of obsolescence of technology, less than ₹ 20 lakhs shall not be considered as part of Capital cost and shall be met through normative O&M expenses"

65. The Petitioner has claimed total ACE of ₹343.30 lakh with respect to the Combined Asset for the 2024-29 tariff period under Regulation 25(1)(d) of the 2024 Tariff Regulations, and has not claimed ACE with respect to Asset-5 for the 2024-29 tariff period. The details of the same are as under:

(₹ in lakh)

Combined Asset		
Particulars	**Regulation**	**ACE claimed**
		2024-25
Balance and retention payments for liabilities other than IDC	25(1)(d) of the 2024 Tariff Regulations	343.30
Total		**343.30**

66. The Petitioner has also submitted the Liability Flow Statement(s) with respect to the Combined Asset under the Regulation 25(1)(d) of the 2024 Tariff Regulations and the same are as under:

Asset-1

(₹ in lakh)

Head-wise/ Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on 31.3.2024	Discharge						Outstanding Liability as on 31.3.2029
				2024-25	2025-26	2026-27	2027-28	2028-29	Total (24-29)	
AVNIL Cable PVT LTD	Transmission Line	12.5.2018	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Shashi Cable			0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Tata project and others			83.64	83.64	0.00	0.00	0.00	0.00	83.64	0.00
M/S Siemens and others	Sub-station		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Total			**83.64**	**83.64**	**0.00**	**0.00**	**0.00**	**0.00**	**83.64**	**0.00**

Asset-2

(₹ in lakh)

Head-wise/ Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on 31.3.2024	Discharge						Outstanding Liability as on 31.3.2029
				2024-25	2025-26	2026-27	2027-28	2028-29	Total (24-29)	
M/S Hindustan d Urban Infrastructure Ltd, M/S Shashi Cables Limited, M/s Palriwal Industries Pvt. Ltd, M/s Anvil Cables Pvt. Ltd., M/s Vijal Electrical Limited, M/s Smita Conductors Private Limited, M/s Durable Conductors & Cables, M/s KEC Internation Ltd, M/s Jilin Longxin Electrical Equipment Co. Ltd.	Transmission Line	21.7.2019	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
M/s GET & D India Limited	Sub-station		129.66	129.66	0.00	0.00	0.00	0.00	129.66	0.00
Total			**129.66**	**129.66**	**0.00**	**0.00**	**0.00**	**0.00**	**129.66**	**0.00**

Asset-3

(₹ in lakh)

Head-wise/ Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on 31.3.2024	Discharge						Outstanding Liability as on 31.3.2029
				2024-25	2025-26	2026-27	2027-28	2028-29	Total (24-29)	
M/s GE T&D India and M/s	Sub-station	1.6.2019	65.00	65.00	0.00	0.00	0.00	0.00	65.00	0.00

Toshiba Transmission & Distribution										
Total			**65.00**	**65.00**	**0.00**	**0.00**	**0.00**	**0.00**	**65.00**	**0.00**

Asset-4

(₹ in lakh)

Head-wise/ Party-wise	Particulars	Year of Actual Capitalisation	Outstanding Liability as on 31.3.2024	Discharge						Outstanding Liability as on 31.3.2029
				2024-25	2025-26	2026-27	2027-28	2028-29	Total (24-29)	
M/s GE T&D India	Sub-station	30.1.2020	65.00	0.00	0.00	0.00	0.00	0.00	0.00	65.00
Total			**65.00**	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**	**65.00**

67. We have considered the Petitioner's submissions. We observed that the Petitioner has claimed the projected ACE of ₹343.00 lakh with respect to the Combined Asset does not match the ACE depicted in the Liability Flow Statement for the 2024-29 tariff period. As per the Liability Flow Statement, the ACE for the 2024-29 tariff period is ₹278.3 lakh, instead of the ACE of ₹343.00 lakh claimed by the Petitioner.

68. Further, we observed that the Petitioner has not claimed any ACE with respect to Asset-5 for the 2024-29 tariff period, and thus, the ACE is considered as "NIL" with respect to Asset-5 for the 2024-29 tariff period.

69. The Petitioner has projected the ACE for the 2024-29 tariff period against the works under original scope executed within the cut-off date. Accordingly, in accordance with Regulation 25(1)(d) of the 2024 Tariff Regulations, the ACE of ₹343.00 lakh claimed by the Petitioner is hereby allowed for the 2024-29 tariff period with respect to the Combined Asset. The Petitioner is directed to clarify the aforesaid discrepancy along with supporting documents and the same shall be reviewed at the time of truing up. The details of the ACE allowed for the 2024-29 tariff period are as follows:

(₹ in lakh)

Asset-1		
Particulars	**Regulation**	**ACE allowed 2024-25**
Balance and retention payments for liabilities other than IDC	25(1)(d) of the 2024 Tariff Regulations	343.30
Total		**343.30**

70. Accordingly, the details of the capital cost and ACE allowed with respect to transmission assets for the 2024-29 tariff period are as follows:

(₹ in lakh)

Asset	Capital Cost admitted as on 1.4.2024	ACE Allowed 2024-25	Capital Cost allowed as on 31.3.2029
Combined Asset	71921.71	343.30	72265.01
Asset-5	551.04	0.00	551.04

Debt-Equity Ratio

71. Regulation 18 of the 2024 Tariff Regulations provides as under:

> *"**18. Debt-Equity Ratio:** (1) For new projects, the debt-equity ratio of 70:30 as on date of commercial operation shall be considered. If the equity actually deployed is more than 30% of the capital cost, equity in excess of 30% shall be treated as normative loan:*
>
> *Provided that:*
> *i. where equity actually deployed is less than 30% of the capital cost, actual equity shall be considered for determination of tariff:*
> *ii. the equity invested in foreign currency shall be designated in Indian rupees on the date of each investment:*
> *iii. any grant obtained for the execution of the project shall not be considered as a part of capital structure for the purpose of debt: equity ratio.*
>
> ***Explanation.-**The premium, if any, raised by the generating company or the transmission licensee, as the case may be, while issuing share capital and investment of internal resources created out of its free reserve, for the funding of the project, shall be reckoned as paid up capital for the purpose of computing return on equity, only if such premium amount and internal resources are actually utilised for meeting the capital expenditure of the generating station or the transmission system.*
>
> *(2) The generating company or the transmission licensee, as the case may be, shall submit the resolution of the Board of the company or approval of the competent authority in other cases regarding infusion of funds from internal resources in support of the utilization made or proposed to be made to meet the capital expenditure of the generating station or the transmission system including communication system, as the case may be.*

(3) In case of the generating station and the transmission system including communication system declared under commercial operation prior to 1.4.2019, debt: equity ratio allowed by the Commission for determination of tariff for the period ending 31.3.2024 shall be considered:

Provided that in case of a generating station or a transmission system including communication system which has completed its useful life as on or after 1.4.2024, if the equity actually deployed as on 1.4.2024 is more than 30% of the capital cost, equity in excess of 30% shall not be taken into account for tariff computation;

Provided further that in case of projects owned by Damodar Valley Corporation, the debt: equity ratio shall be governed as per sub-clause (ii) of clause (2) of Regulation 96 of these regulations.

(4) In case of the generating station and the transmission system including communication system declared under commercial operation prior to 1.4.2024, but where debt: equity ratio has not been determined by the Commission for determination of tariff for the period ending 31.3.2024, the Commission shall approve the debt: equity ratio in accordance with clause (1) of this Regulation.

(5) Any expenditure incurred or projected to be incurred on or after 1.4.2024 as may be admitted by the Commission as additional capital expenditure for determination of tariff, and renovation and modernisation expenditure for life extension shall be serviced in the manner specified in clause (1) of this Regulation.

(6) Any expenditure incurred for the emission control system during the tariff period as may be admitted by the Commission as additional capital expenditure for determination of supplementary tariff, shall be serviced in the manner specified in clause (1) of this Regulation."

72. The debt-equity ratio considered for the purpose of computation of tariff for the 2024-29 tariff period and allowed as per Regulation 18(3) of the 2024 Tariff Regulations is as follows:

Combined Asset						
Funding	**Capital Cost as on 1.4.2024 (₹ in lakh)**	**(In %)**	**ACE in 2024-29 (₹ in lakh)**	**(In %)**	**Capital Cost as on 31.3.2029 (₹ in lakh)**	**(In %)**
Debt	50345.20	70.00%	240.31	70.00%	50585.51	70.00%
Equity	21576.51	30.00%	102.99	30.00%	21679.50	30.00%
Total	**71921.71**	**100.00%**	**343.30**	**100.00 %**	**72265.01**	**100.00%**

Asset-5						
Funding	**Capital Cost as on 1.4.2024 (₹ in lakh)**	**(In %)**	**ACE in 2024-29 (₹ in lakh)**	**(In %)**	**Capital Cost as on 31.3.2029 (₹ in lakh)**	**(In %)**
Debt	385.73	70.00%	0.00	70.00%	385.73	70.00%
Equity	165.31	30.00%	0.00	30.00%	165.31	30.00%
Total	**551.04**	**100.00%**	**0.00**	**100.00 %**	**551.04**	**100.00%**

Depreciation

73. Regulation 33 of the 2024 Tariff Regulations provides as under:

> ***"33. Depreciation:*** *(1) Depreciation shall be computed from the date of commercial operation of a generating station or unit thereof or a transmission system or element thereof including communication system. In the case of the tariff of all the units of a generating station or all elements of a transmission system including the communication system for which a single tariff needs to be determined, the depreciation shall be computed from the effective date of commercial operation of the generating station or the transmission system taking into consideration the depreciation of individual units:*
>
> *Provided that the effective date of commercial operation shall be worked out by considering the actual date of commercial operation and installed capacity of all the units of the generating station or capital cost of all elements of the transmission system, for which a single tariff needs to be determined.*
>
> *(2) The value base for the purpose of depreciation shall be the capital cost of the asset admitted by the Commission. In case of multiple units of a generating station or multiple elements of a transmission system, the weighted average life for the generating station or the transmission system shall be applied. Depreciation shall be chargeable from the first year of commercial operation. In the case of commercial operation of the asset for a part of the year, depreciation shall be charged on a pro rata basis.*
>
> *(3) The salvage value of the asset shall be considered as 10%, and depreciation shall be allowed up to the maximum of 90% of the capital cost of the asset:*
>
> *Provided that the salvage value for IT equipment and software shall be considered as NIL and 100% value of the assets shall be considered depreciable;*
>
> *…….*
>
> *Provided also that any depreciation disallowed on account of lower availability of the generating station or unit or transmission system, as the case may be, shall not be allowed to be recovered at a later stage during the useful life or the extended life.*
>
> *(4) ……*
>
> *(5) Depreciation for Existing Projects shall be calculated annually based on the Straight Line Method and at rates specified in Appendix-I to these regulations for the*

assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 12 years from the effective date of commercial operation of the generating station or transmission system, as the case may be, shall be spread over the balance useful life of the assets.

……

(6) Depreciation for New Projects shall be calculated annually based on the Straight Line Method and at rates specified in Appendix-II to these regulations for the assets of the generating station and transmission system:

Provided that the remaining depreciable value as on 31st March of the year closing after a period of 15 years from the effective date of commercial operation of the generating station or the transmission system, as the case may be, shall be spread over the balance useful life of the assets.

……

(7) In the case of the existing projects, the balance depreciable value as on 1.4.2024 shall be worked out by deducting the cumulative depreciation as admitted to by the Commission up to 31.3.2024 from the gross depreciable value of the assets.

(8) The generating company or the transmission licensee, as the case may be, shall submit the details of capital expenditure proposed to be incurred during five years before the completion of useful life along with proper justification and proposed life extension. The Commission, based on prudence check of such submissions, shall approve the depreciation by equally spreading the depreciable value over the balance Operational Life of the generating station or unit thereof or fifteen years, whichever is lower, and in case of the transmission system shall equally spread the depreciable value over the balance useful life of the Asset or 10 years whichever is higher.

(9) In case of de-capitalization of assets in respect of generating station or unit thereof or transmission system or element thereof, the cumulative depreciation shall be adjusted by taking into account the depreciation recovered in tariff by the de-capitalised asset during its useful service

(10) Xxxxxx

(11) Xxxxxx

(12) Xxxxxx"

74. The depreciation has been worked out considering the admitted capital expenditure as on 1.4.2024 and thereafter up to 31.3.2029. The WAROD has been worked out considering the rates of depreciation for the Combined Asset specified in the 2024 Tariff Regulations. Further, Asset-5 has already completed 12 years of useful life before 1.4.2024. Hence, the remaining depreciable value of ₹97.19 lakh as on

1.4.2024 has been spread over the remaining useful life of the Asset-5 in accordance with the 2024 Tariff Regulations.

75. The depreciation allowed with respect to the transmission assets under Regulation 33 of the 2024 Tariff Regulations for the 2024-29 tariff period is as follows:

(₹ in lakh)

		Combined Asset				
Sl. No.	**Particulars**	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
A	Opening Capital Cost	72265.01	72265.01	72265.01	72265.01	72265.01
B	Addition during the year 2024-29 due to ACE	343.30	0.00	0.00	0.00	0.00
C	Closing Capital Cost (A+B)	72608.31	72265.01	72265.01	72265.01	72265.01
D	Average Capital Cost (A+C)/2	72265.01	72265.01	72265.01	72265.01	72265.01
E	Average Capital Cost (90% depreciable assets)	71944.01	72115.66	72115.66	72115.66	72115.66
F	Average Capital Cost (100% depreciable assets)	149.34	149.34	149.34	149.34	149.34
G	Depreciable value (excluding IT equipment and software) (E*90%)	64749.61	64904.10	64904.10	64904.10	64904.10
H	Depreciable value of IT equipment and software (F*100%)	149.34	149.34	149.34	149.34	149.34
I	Total Depreciable Value (G+H)	64898.96	65053.44	65053.44	65053.44	65053.44
J	Weighted average rate of Depreciation (WAROD) (in %)	5.3225%	5.3291%	5.3041%	5.2923%	5.2501%
K	Balance useful life at the beginning of the year (Year)	28	27	26	25	24
L	Elapsed useful life at the beginning of the year (Year)	5	6	7	8	9
M	**Depreciation during the year (D*J)**	**3846.33**	**3851.04**	**3832.99**	**3824.49**	**3793.97**
N	Cumulative Depreciation at the end of the year	22581.44	26432.49	30265.48	34089.97	37883.94
O	Remaining Aggregate Depreciable Value at the end of the year	42317.51	38620.96	34787.97	30963.48	27169.51

(₹ in lakh)

		Asset-5				
Sl. No.	**Particulars**	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
A	Opening Capital Cost	551.04	551.04	551.04	551.04	551.04
B	Addition during the year 2024-29 due to ACE	0.00	0.00	0.00	0.00	0.00
C	Closing Capital Cost (A+B)	551.04	551.04	551.04	551.04	551.04
D	Average Capital Cost (A+C)/2	551.04	551.04	551.04	551.04	551.04
E	Average Capital Cost (90% depreciable assets)	551.04	551.04	551.04	551.04	551.04
F	Average Capital Cost (100% depreciable assets)	0.00	0.00	0.00	0.00	0.00
G	Depreciable value (excluding IT equipment and software) (E*90%)	495.94	495.94	495.94	495.94	495.94
H	Depreciable value of IT equipment and software (F*100%)	0.00	0.00	0.00	0.00	0.00
I	Total Depreciable Value (G+H)	495.94	495.94	495.94	495.94	495.94
J	Weighted average rate of Depreciation (WAROD) (in %)	Spread-over depreciation				
K	Balance useful life at the beginning of the year (Year)	9	8	7	6	5
L	Elapsed useful life at the beginning of the year (Year)	16	17	18	19	20
M	**Depreciation during the year (D*J)**	**10.87**	**10.87**	**10.87**	**10.87**	**10.87**
N	Cumulative Depreciation at the end of the year	409.04	419.91	430.78	441.65	452.52
O	Remaining Aggregate Depreciable Value at the end of the year	86.90	76.03	65.16	54.29	43.42

Interest on Loan (IoL)

76. Regulation 32 of the 2024 Tariff Regulations provides as under:

> ***"32. Interest on loan capital:*** *(1) The loans arrived at in the manner indicated in Regulation 18 of these regulations shall be considered gross normative loans for the calculation of interest on loans.*

(2) The normative loan outstanding as on 1.4.2024 shall be worked out by deducting the cumulative repayment as admitted by the Commission up to 31.3.2024 from the gross normative loan.

(3) The repayment for each of the years of the tariff period 2024-29 shall be deemed to be equal to the depreciation allowed for the corresponding year or period. In case of decapitalization of assets, the repayment shall be adjusted by taking into account cumulative repayment on a pro rata basis, and the adjustment should not exceed cumulative depreciation recovered up to the date of de-capitalisation of such asset.

(4) Notwithstanding any moratorium period availed of by the generating company or the transmission licensee, as the case may be, the repayment of the loan shall be considered from the first year of commercial operation of the project and shall be equal to the depreciation allowed for the year or part of the year.
(5) The rate of interest shall be the weighted average rate of interest calculated on the basis of the actual loan portfolio or allocated loan portfolio;

Provided that if there is no actual loan outstanding for a particular year but the normative loan is still outstanding, the last available weighted average rate of interest of the loan portfolio for the project shall be considered;

Provided further that if the generating station or the transmission system, as the case may be, does not have any actual loan, then the weighted average rate of interest of the loan portfolio of the generating company or the transmission licensee as a whole shall be considered.

Provided that the rate of interest on the loan for the installation of the emission control system commissioned subsequent to date of commercial operation of the generating station or unit thereof, shall be the weighted average rate of interest of the actual loan portfolio of the emission control system, and in the absence of the actual loan portfolio, the weighted average rate of interest of the generating company as a whole shall be considered, subject to a ceiling of 14%;

Provided further that if the generating company or the transmission licensee, as the case may be, does not have any actual loan, then the rate of interest for a loan shall be considered as 1-year MCLR of the State Bank of India as applicable as on April 01, of the relevant financial year.

(6) The interest on the loan shall be calculated on the normative average loan of the year by applying the weighted average rate of interest.

(7) The changes to the terms and conditions of the loans shall be reflected from the date of such re-financing."

77. The Weighted Average Rate of IoL has been considered on the basis of the rate prevailing as on 1.4.2024. The Petitioner has prayed that the change in interest rate due to the floating rate of interest applicable, if any, during the 2024-29 tariff period may be adjusted. Accordingly, the floating rate of interest, if any, will be considered at the

time of true-up. IoL has been allowed in accordance with Regulation 32 of the 2024 Tariff Regulations. The IoL allowed for the 2024-29 tariff period with respect to the transmission assets is as follows:

(₹ in lakh)

		Combined Asset				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
	Interest on Loan					
A	Gross Normative Loan	50345.20	50585.51	50585.51	50585.51	50585.51
B	Cumulative Repayments up to Previous Year	18735.11	22581.44	26432.49	30265.48	34089.97
C	Net Loan-Opening (A-B)	31610.09	28004.06	24153.02	20320.03	16495.54
D	Additions	240.31	0.00	0.00	0.00	0.00
E	Repayment during the year	3846.33	3851.04	3832.99	3824.49	3793.97
F	Net Loan-Closing (C+D-E)	28004.06	24153.02	20320.03	16495.54	12701.57
G	Average Loan (C+F)/2	29807.07	26078.54	22236.53	18407.79	14598.56
H	Weighted Average Rate of Interest on Loan (%)	6.9854	6.9185	6.8746	6.7995	6.7148
I	**Interest on Loan (G*H)**	**2082.16**	**1804.24**	**1528.66**	**1251.64**	**980.27**

(₹ in lakh)

		Asset-5				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
	Interest on Loan					
A	Gross Normative Loan	385.73	385.73	385.73	385.73	385.73
B	Cumulative Repayments up to Previous Year	370.99	381.86	385.73	385.73	385.73
C	Net Loan-Opening (A-B)	14.74	3.87	0.00	0.00	0.00
D	Additions	0.00	0.00	0.00	0.00	0.00
E	Repayment during the year	10.87	3.87	0.00	0.00	0.00
F	Net Loan-Closing (C+D-E)	3.87	0.00	0.00	0.00	0.00
G	Average Loan (C+F)/2	9.31	1.94	0.00	0.00	0.00
H	Weighted Average Rate of Interest on Loan (%)	9.2000	9.2000	9.2000	9.2000	9.2000
I	**Interest on Loan (G*H)**	**0.86**	**0.18**	**0.00**	**0.00**	**0.00**

<u>Return on Equity (RoE)</u>

78. Regulations 30 and 31 of the 2024 Tariff Regulations provide as under:

> ***"30. Return on Equity**: (1) Return on equity shall be computed in rupee terms, on the equity base determined in accordance with Regulation 18 of these regulations.*

(2) Return on equity for existing project shall be computed at the base rate of 15.50% for thermal generating station, transmission system including communication system and run-of river hydro generating station and at the base rate of 16.50% for storage type hydro generating stations, pumped storage hydro generating stations and run-of- river generating station with pondage;

(3) Return on equity for new project achieving COD on or after 01.04.2024 shall be computed at the base rate of 15.00% for the transmission system, including the communication system, at the base rate of 15.50% for Thermal generating station and run-of-river hydro generating station and at the base rate of 17.00% for storage type hydro generating stations, pumped storage hydro generating stations and run-of-river generating station with pondage;

Provided that return on equity in respect of additional capitalization beyond the original scope, including additional capitalization on account of the emission control system, Change in Law, and Force Majeure shall be computed at the base rate of one-year marginal cost of lending rate (MCLR) of the State Bank of India plus 350 basis points as on 1st April of the year, subject to a ceiling of 14%;

Provided further that:

i. In case of a new project, the rate of return on equity shall be reduced by 1.00% for such period as may be decided by the Commission if the generating station or transmission system is found to be declared under commercial operation without commissioning of any of the Free Governor Mode Operation (FGMO), data telemetry, communication system up to load dispatch centre or protection system based on the report submitted by the respective RLDC;

…….……"

***"31. Tax on Return on Equity**. (1) The rate of return on equity as allowed by the Commission under Regulation 30 of these regulations shall be grossed up with the effective tax rate of the respective financial year. The effective tax rate shall be calculated at the beginning of every financial year based on the estimated profit and tax to be paid estimated in line with the provisions of the relevant Finance Act applicable for that financial year to the concerned generating company or the transmission licensee by excluding the income of non-generation or non-transmission business, as the case may be, and the corresponding tax thereon.*

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB of the Income Tax Act, 1961, the effective tax rate shall be the MAT rate, including surcharge and cess;

Provided further that in case a generating company or transmission licensee has opted for Section 115BAA, the effective tax rate shall be tax rate including surcharge and cess as specified under Section 115BAA of the Income Tax Act, 1961.

(2) The rate of return on equity shall be rounded off to three decimal places and shall be computed as per the formula given below:

Rate of pre-tax return on equity = Base rate / (1-t)

(3) The generating company or the transmission licensee, as the case may be, shall true up the effective tax rate for every financial year based on actual tax paid together with any additional tax demand, including interest thereon, duly adjusted for any refund of tax including interest received from the income tax authorities pertaining to the tariff period 2024-29 on actual gross income of any financial year. Further, any penalty arising on account of delay in deposit or short deposit of tax amount shall not be considered while computing the actual tax paid for the generating company or the transmission licensee, as the case may be.

Provided that in case a generating company or transmission licensee is paying Minimum Alternate Tax (MAT) under Section 115JB, the generating company or the transmission licensee, as the case may be, shall true up the grossed up rate of return on equity at the end of every financial year with the applicable MAT rate including surcharge and cess.

Provided that in case a generating company or transmission licensee is paying tax under Section 115BAA, the generating company or the transmission licensee, as the case may be, shall true up the grossed up rate of return on equity at the end of every financial year with the tax rate including surcharge and cess as specified under Section 115BAA.

Provided that any under-recovery or over recovery of grossed up rate on return on equity after truing up, shall be recovered or refunded to beneficiaries or the long-term customers, as the case may be, on a year to year basis."

79. The Petitioner has submitted that the MAT rate is applicable to the Petitioner. Accordingly, the applicable MAT rate has been considered for the purpose of RoE, which will be trued-up in accordance with the 2024 Tariff Regulations. The RoE allowed with respect to the transmission assets for the 2024-29 tariff period is as follows:

(₹ in lakh)

		Combined Asset				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
	Return on Equity					
A	Opening Equity	21576.51	21679.50	21679.50	21679.50	21679.50
B	Additions	102.99	0.00	0.00	0.00	0.00
C	Closing Equity (A+B)	21679.50	21679.50	21679.50	21679.50	21679.50
D	Average Equity (A+C)/2	21628.01	21679.50	21679.50	21679.50	21679.50
E	Return on Equity (Base Rate) (%)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (%)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (%)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**4062.17**	**4071.84**	**4071.84**	**4071.84**	**4071.84**

(₹ in lakh)

		Asset-5				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
	Return on Equity					
A	Opening Equity	165.31	165.31	165.31	165.31	165.31
B	Additions	0.00	0.00	0.00	0.00	0.00
C	Closing Equity (A+B)	165.31	165.31	165.31	165.31	165.31
D	Average Equity (A+C)/2	165.31	165.31	165.31	165.31	165.31
E	Return on Equity (Base Rate) (%)	15.500	15.500	15.500	15.500	15.500
F	MAT Rate for respective year (%)	17.472	17.472	17.472	17.472	17.472
G	Rate of Return on Equity (%)	18.782	18.782	18.782	18.782	18.782
H	**Return on Equity (D*G)**	**31.05**	**31.05**	**31.05**	**31.05**	**31.05**

Operation & Maintenance Expenses (O&M Expenses)

80. The O&M Expenses claimed by the Petitioner with respect to the transmission assets for the 2024-29 period are as under:

(₹ in lakh)

Asset	2024-25	2020-21	2021-22	2022-23	2023-24
Combined Asset	990.17	1042.61	1096.44	1153.86	1216.01

(₹ in lakh)

Asset	2024-25	2020-21	2021-22	2022-23	2023-24
Asset-5	20.96	22.08	23.420	24.40	25.76

81. Regulation 36(3)(a) of the 2024 Tariff Regulations provide as under:

*"**36. Operation and Maintenance Expenses:***

…

***(3) Transmission system:** (a) The following normative operation and maintenance expenses shall be admissible for the transmission system:*

Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Norms for sub-station Bays (₹ Lakh per bay)					
765 kV	*41.34*	*43.51*	*45.79*	*48.20*	*50.73*
400 kV	*29.53*	*31.08*	*32.71*	*34.43*	*36.23*
220 kV	*20.67*	*21.75*	*22.90*	*24.10*	*25.36*
132 kV and below	*15.78*	*16.61*	*17.48*	*18.40*	*19.35*
Norms for Transformers/ Reactors (₹ Lakh per MVA or MVAR)					
O&M expenditure per MVA or per MVAr ((₹ Lakh per MVA or MVAR)	*0.262*	*0.276*	*0.290*	*0.305*	*0.322*
Norms for AC and HVDC lines (₹ Lakh per km)					

Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Single Circuit (Bundled Conductor with six or more sub-conductors)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Single Circuit (Bundled conductor with four sub-conductors)	*0.738*	*0.776*	*0.817*	*0.860*	*0.905*
Single Circuit (Twin & Triple Conductor)	*0.492*	*0.518*	*0.545*	*0.573*	*0.603*
Single Circuit (Single Conductor)	*0.346*	*0.259*	*0.272*	*0.287*	*0.302*
Double Circuit (Bundled conductor with four or more sub-conductors)	*1.291*	*1.359*	*1.430*	*1.506*	*1.585*
Double Circuit (Twin & Triple Conductor)	*0.861*	*0.906*	*0.953*	*1.003*	*1.056*
Double Circuit (Single Conductor)	*0.369*	*0.388*	*0.409*	*0.430*	*0.453*
Multi Circuit (Bundled Conductor with four or more sub-conductor)	*2.266*	*2.385*	*2.510*	*2.642*	*2.781*
Multi Circuit (Twin & Triple Conductor)	*1.509*	*1.588*	*1.671*	*1.759*	*1.851*
Norms for HVDC stations					
HVDC Back-to-Back stations (₹ Lakh per MW) (Except Gazuwaka BTB)	*2.07*	*2.18*	*2.30*	*2.42*	*2.55*
Gazuwaka HVDC Back-to-Back station (₹ Lakh per MW)	*1.83*	*1.92*	*2.03*	*2.13*	*2.24*
HVDC bipole scheme (₹ Lakh per MW)	*1.04*	*1.10*	*1.16*	*1.22*	*1.28*

Provided that the O&M expenses for the GIS bays shall be allowed as worked out by multiplying 0.70 of the O&M expenses of the normative O&M expenses for bays;

Provided that the O&M expense norms of Double Circuit quad AC line shall be applicable to for HVDC bi-pole line;

Provided that the O&M expenses of ±500 kV Mundra-Mohindergarh HVDC bipole scheme (2500 MW) shall be allowed as worked out by multiplying 0.80 of the normative O&M expenses for HVDC bipole scheme;

Provided further that the O&M expenses for Transmission Licensees whose transmission assets are located solely in NE Region (including Sikkim), States of Uttarakhand, Himachal Pradesh, the Union Territories of Jammu and Kashmir and Ladakh, district of Darjeeling of West Bengal shall be worked out by multiplying 1.50 to the normative O&M expenses prescribed above.

(b) The total allowable operation and maintenance expenses for the transmission system shall be calculated by multiplying the number of substation bays, transformer capacity of the transformer/reactor/Static Var Compensator/Static Synchronous Compensator (in MVA/MVAr) and km of line length with the applicable norms for the operation and maintenance expenses per bay, per MVA/MVAr and per km respectively.

……..”

82. We have considered the Petitioner's submission. The O&M Expenses for the 2024-29 tariff period have been worked out in accordance with Regulation 36 of the 2024 Tariff Regulations, and the same are as follows:

(₹ in lakh)

Particulars	**Combined Asset**				
	2024-25	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Double Circuit (Bundled with Four Sub-Conductors): (Total Length: 233.391 Km.) • 400 kV D/C (Quad) Nabinagar-II-Gaya Line: Length of Line:92.00 km. • 400 KV D/C Nabinagar-Patna Line: Length of Line: 141.391					
Norm (₹ lakh per bay)	1.29	1.36	1.43	1.51	1.59
O&M Expenses	301.31	317.18	333.75	351.49	369.92
Multiple Circuit (With Four or more Sub-Conductors): • 400 kV D/C (Quad) Nabinagar-II-Gaya Line: Length of Line:2.60 km.					
Norm (₹ lakh per bay)	2.27	2.39	2.51	2.64	2.78
O&M Expenses	5.89	6.20	6.53	6.87	7.23
400 kV Sub-station (Total Bays:7): **Gaya Sub-station:** • 1 No. 400 kV Nabinagar Bay-I, Gaya • 1 No. 400 kV Nabinagar Bay-II, Gaya • 1 No. 400 KV ICT IV Bay at Gaya S/S. **Patna Sub-station:** • 2 No. 400 KV Line Bays for Patna S/S. • 2 No. 400 KV SLR Bays at Patna S/S.					
Norm (₹ lakh per bay)	29.53	31.08	32.71	34.43	36.23
O&M Expenses	206.71	217.56	228.97	241.01	253.61
765 KV Sub-Station (Total Bays: 1) • 1 No. 765 KV ICT IV Bay at Gaya S/S					

(₹ in lakh)

Particulars	Combined Asset				
	2024-25	2025-26	2026-27	2027-28	2028-29
Norm (₹ lakh per bay)	41.34	43.51	45.79	48.20	50.73
O&M Expenses	41.34	43.51	45.79	48.20	50.73
765 KV Sub-Station • 1 No. 765 KV 1500 MVA ICT IV at Gaya S/S.					
Norm (₹ lakh per bay)	0.262	0.276	0.29	0.305	0.322
O&M Expenses	393.00	414.00	435.00	457.50	483.00
400 KV Sub-Station • 1 No. 400 KV 80 MVAR Reactor Nabiagar-II at Patna S/S. • 1 No. 400 KV 80 MVAR Reactor of Barh-I at Patna S/S.					
Norm (₹ lakh per bay)	0.262	0.276	0.29	0.305	0.322
O&M Expenses	41.92	44.16	46.40	48.80	51.52
Total O&M Expenses	**990.17**	**1042.61**	**1096.44**	**1153.86**	**1216.01**

(₹ in lakh)

Particulars	Asset-5				
	2024-25	2025-26	2026-27	2027-28	2028-29
400 KV Sub-Station • 1 No. 400 KV 80 MVAR SLR of Nabinagar-I at Patna S/S.					
Norm (₹ lakh per bay)	0.262	0.276	0.29	0.305	0.322
Total O&M Expenses	**20.96**	**22.08**	**23.20**	**24.40**	**25.76**

Interest on Working Capital (IWC)

83. Regulation 34(1)(d), 34(3) and 34(4) of the 2024 Tariff Regulations provides as under:

> ***"34. Interest on Working Capital**: (1) The working capital shall cover:*
> *……*

(d) For Hydro generating station (including Pumped Storage Hydro generating station) and Transmission System:

(i) Receivables equivalent to 45 days of annual fixed cost;

(ii)Maintenance spares @ 15% of operation and maintenance expenses including security expenses; and

(iii)Operation and maintenance expenses, including security expenses for one month.

(2) ……

(3) Rate of interest on working capital shall be on a normative basis and shall be considered at the Reference Rate of Interest as on 1.4.2024 or as on 1st April of the year during the tariff period 2024- 29 in which the generating station or a unit thereof or the transmission system including communication system or element thereof, as the case may be, is declared under commercial operation, whichever is later:

Provided that in case of truing-up, the rate of interest on working capital shall be considered at Reference Rate of Interest as on 1st April of each of the financial year during the tariff period 2024-29.

(4) Interest on working capital shall be payable on a normative basis, notwithstanding that the generating company or the transmission licensee has not taken a loan for working capital from any outside agency."

84. The Petitioner has considered the rate of IWC as 11.90% as on 1.4.2024. IWC is worked out in accordance with Regulation 34 of the 2024 Tariff Regulations. The ROI considered is 11.90% (SBI 1-year MCLR applicable as on 1.4.2024 of 8.65% plus 325 basis points) for the FY 2024-25 to FY 2028-29.

85. The components of the working capital and interest allowed thereon under Regulation 34 of the 2024 Tariff Regulations for the 2024-29 tariff period with respect to the transmission assets are as follows:

(₹ in lakh)

		Combined Asset				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
A	Working Capital for O&M Expenses (O&M Expenses for one month)	82.51	86.88	91.37	96.16	101.33
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	148.53	156.39	164.47	173.08	182.40
C	Working Capital for Receivables	1377.40	1351.17	1321.35	1289.42	1263.23

		Combined Asset				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
	(Equivalent to 45 days of annual fixed cost /annual transmission charges)					
D	**Total Working Capital (A+B+C)**	**1608.44**	**1594.44**	**1577.18**	**1558.66**	**1546.97**
E	Rate of Interest for working capital (in %)	11.90	11.90	11.90	11.90	11.90
F	**Interest on working capital (D*E)**	**191.40**	**189.74**	**187.68**	**185.48**	**184.09**

(₹ in lakh)

		Asset-5				
	Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
A	Working Capital for O&M Expenses (O&M Expenses for one month)	1.75	1.84	1.93	2.03	2.15
B	Working Capital for Maintenance Spares (15% of O&M Expenses)	3.14	3.31	3.48	3.66	3.86
C	Working Capital for Receivables (Equivalent to 45 days of annual fixed cost /annual transmission charges)	8.05	8.11	8.23	8.36	8.56
D	**Total Working Capital (A+B+C)**	**12.94**	**13.26**	**13.64**	**14.05**	**14.57**
E	Rate of Interest for working capital (in %)	11.90	11.90	11.90	11.90	11.90
F	**Interest on working capital (D*E)**	**1.54**	**1.58**	**1.62**	**1.67**	**1.73**

<u>Annual Fixed Charges of the 2024-29 Tariff Period</u>

86. The Annual Fixed Charges allowed with respect to the 2024-29 tariff period are as follows:

(₹ in lakh)

	Combined Asset				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Depreciation	3846.33	3851.04	3832.99	3824.49	3793.97
Interest on Loan	2082.16	1804.24	1528.66	1251.64	980.27
Return on Equity	4062.17	4071.84	4071.84	4071.84	4071.84
Interest on Working Capital	191.40	189.74	187.68	185.48	184.09
O & M Expenses	990.17	1042.61	1096.44	1153.87	1216.02

	Combined Asset				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Total	**11172.23**	**10959.47**	**10717.61**	**10487.32**	**10246.19**

(₹ in lakh)

	Asset-5				
Particulars	**2024-25**	**2025-26**	**2026-27**	**2027-28**	**2028-29**
Depreciation	10.87	10.87	10.87	10.87	10.87
Interest on Loan	0.86	0.18	0.00	0.00	0.00
Return on Equity	31.05	31.05	31.05	31.05	31.05
Interest on Working Capital	1.54	1.58	1.62	1.67	1.73
O&M Expenses	20.96	22.08	23.20	24.40	25.76
Total	**65.28**	**65.76**	**66.74**	**67.99**	**69.41**

Filing Fee and Publication Expenses

87. The Petitioner has claimed reimbursement of the fee paid by it for filing the Petition and publication expenses. The Petitioner has further submitted that it is entitled to the reimbursement of the filing fee and the expenses incurred on publication of notices in the application for approval of tariff directly from the beneficiaries or the long-term customers, as the case may be, in accordance with Regulation 94(1) of the 2024 Tariff Regulations.

88. We have considered the Petitioner's submissions. The Petitioner is entitled to reimbursement of the fee paid for filing the Petition and publication expenses incurred on this count directly from the beneficiaries or long-term customers, as the case may be, in terms of Regulation 94(1) of the 2024 Tariff Regulations.

Fees and Charges of Central Transmission Utility of India Limited (CTUIL)

89. The Petitioner has submitted that, as per Regulation 99 of the 2024 Tariff Regulations, the fees and charges of the CTUIL may be allowed separately through a separate regulation. The Petitioner has further submitted that in the absence of such regulation, the expenses of CTUIL will be borne by the Petitioner, which will be

recovered by the Petitioner as additional O&M Expenses through a separate Petition at the end of the tariff period.

90. It is apt here to refer to Regulation 99 of the 2024 Tariff Regulations, which provides as under:

> ***"99. Special Provisions relating to Central Transmission Utility of India Ltd. (CTUIL)****: The fee and charges of CTUIL shall be allowed separately by the Commission through a separate regulation:*
>
> *Provided that until such regulation is issued by the Commission, the expenses of CTUIL shall be borne by Power Grid Corporation of India Ltd. (PGCIL) which shall be recovered by PGCIL as additional O&M expenses through a separate petition."*

91. We have considered the Petitioner's submissions and perused Regulation 99 of the 2024 Tariff Regulations, we permit the Petitioner, i.e., PGCIL, to bear the fees and charges expenses of CTUIL and recover the same as additional O&M Expenses through a separate Petition until such regulation is notified and issued by the Commission.

License Fee and RLDC Fees and Charges

92. The Petitioner has claimed reimbursement of the license fee, RLDC Fees and Charges. The Petitioner is allowed the reimbursement of the license fee in accordance with Regulation 94(4) of the 2024 Tariff Regulations for the 2024-29 tariff period. The Petitioner is also allowed to recover the RLDC fee and charges from the beneficiaries in terms of Regulation 94(3) of the 2024 Tariff Regulations for the 2024-29 tariff period.

Goods and Services Tax

93. The Petitioner has submitted that the transmission charges claimed herein are exclusive of GST, and in case GST is levied in the future, the same shall be additionally paid by the Respondents and be charged and billed separately by the Petitioner. It is also prayed that additional taxes, if any, are paid by the Petitioner on account of the

demand from the Government/ statutory authorities, and the Commission may allow the same to be recovered from the beneficiaries.

94. We have considered the Petitioner's submissions. Since GST is not levied on the transmission service at present, we are of the view that the Petitioner's prayer on this count is premature.

Security Expenses, Insurance and Capital Spares

95. The Petitioner has submitted that, as per Regulation 36(3)(d) of the 2024 Tariff Regulations, the Security Expenses and Capital Spares of more than ₹10 lakh and Insurance Expenses incurred through the competitive bidding for the transmission system and associated communication system shall be allowed by the Commission separately after a prudence check.

96. The Petitioner has not claimed any Security Expenses regarding the transmission assets in the instant Petition. The Petitioner has submitted that a separate Petition will be filed for truing up of Security Expenses from 1.4.2019 to 31.3.2024 under Regulation 35(3)(c) of the 2019 Tariff Regulations and recovery of security expenses from 1.4.2024 to 31.3.2029 under Regulation 36 (3)(d) of the 2024 Tariff Regulations.

97. The Petitioner has also submitted that it has not claimed Insurance Expenses in the instant Petition and has submitted that it will file a separate Petition for claiming the overall insurance expenses and consequential Interest on Working Capital (IWC) on the same, considering the actual insurance expenses incurred by it for the FY 2023-24 after escalating the same at 5.25% per annum to arrive at the estimated Insurance Expense for the FY 2024-25, FY 2025-26, FY 2026-27, FY 2027-28, and FY 2028-29.

98. The Petitioner has not claimed capital spares for the transmission assets in the instant Petition for the 2024-29 tariff period. According to the Petitioner, it will file a separate Petition for the capital spares consumed and consequential IWC thereon on

an actual basis for the 2024-29 tariff period as per the 2024 Tariff Regulations. The Petitioner has also submitted that it has filed Petition No. 45/MP/2024, claiming therein Capital Spares for the 2019-24 tariff period as per the 2019 Tariff Regulations.

99. We have considered the Petitioner's submissions and have perused the record. We deem it proper here to refer to Regulation 36(3) (d) of the 2024 Tariff Regulations which provides as under:

> *"36(3)*
> *(d) The Security Expenses, Capital Spares individually costing more than Rs. 10 lakh and Insurance expenses arrived through competitive bidding for the transmission system and associated communication system shall be allowed separately after prudence check:*
>
> *Provided that in case of self-insurance, the premium shall not exceed 0.12% of the GFA of the assets insured;*
>
> *Provided that the transmission licensee shall submit the along with estimated security expenses based on assessment of the security requirement, capital spares and insurance expenses, which shall be trued up based on details of the year-wise actuals along with appropriate justification for incurring the same and along with confirmation that the same is not claimed as a part of additional capitalisation or consumption of stores and spares and renovation and modernization."*

100. On perusal of Regulation 36(3)(d) of the 2024 Tariff Regulations and considering the Petitioner's submissions, the Petitioner is allowed to file a single consolidated Petition comprising security expenses, capital spares individually costing more than ₹10 lakh and insurance expenses on the estimated basis as per the 2024 Tariff Regulations for the 2024-29 tariff period.

Sharing of Transmission Charges

101. The Petitioner has submitted that the transmission charges allowed with respect to the transmission assets by the Commission vide its orders dated 8.2.2021 and 27.5.2022 in Petition No. 39/TT/2020 and 675/TT/2020 respectively.

Particulars	COD of Transmission Asset(s) (PG)	Remarks	COD of Generation capacity	Liability of Transmission Charges

			(3x660 MW) (NPGCPL)	
Asset-1	12.05.2018	Associated with Unit-I	Unit-I (660 MW) :6.9.2019, Unit-II (660 MW): 23.07.2021, & Unit-III (660 MW) : 1.6.2022	• From 12.05.2018 till 06.09.2019 (Unit-I), to be borne by NPGCPL. Thereafter POC
Asset-2	21.07.2019	Associated with Unit-I, II & III		• From 121.07.2019 till 05.09.2019 (Unit-I), to be borne by NPGCPL • From 06.09.2019 (Unit-I) till 22.07.2021 (Unit-II), to be borne by NPGCPL proportionate to 1320 MW, and rest POC proportionate to 660 MW. • From 23.07.2021 (Unit-II) till 30.05.2022 (Unit-III), to be borne by NPGCPL proportionate to 660 MW, and rest POC proportionate to 1320 MW.
Asset-5	21.07.2019			
Asset-3	01.06.2019	Associated with Unit-III		• From 01.06.2019 till 30.05.2022 (Unit-III), to be borne by NPGCPL. Thereafter POC
Asset-4	30.01.2020	Not associated with ATS of generation	NA	• POC

102. The Petitioner has also submitted that the transmission charges for the 2024-29 tariff period will be recovered on a monthly basis in accordance with Regulation 78 of the 2024 Tariff Regulations and will be shared by the beneficiaries and long-term transmission customers as per the 2020 Sharing Regulations.

103. We have considered the Petitioner's submissions. We observed that the Commission vide its order dated 8.2.2021 in Petition No. 39/TT/2020, held that the transmission charges with respect to Asset-1 will be borne by NPGCPL from 12.5.2018 till the COD of the first Unit of NPGCL. The Relevant extract of the aforesaid order is as under:

> *"87. The Commission in order dated 22.4.2019 in the Petition No. 106/TT/2018 held that NPGCPL will be bear the transmission charges from 12.5.2018 to COD of the first unit of NPGCPL. The relevant portion of the order dated 22.4.2019 is as under:*
>
> > *"54. However, it is observed that as per the Implementation Agreement dated 18.3.2016 between the petitioner and NPGCPL, the petitioner was scheduled to put into commercial operation of one transmission line matching with the commissioning of first unit of NPGCPL by September 2017. The Petitioner has submitted that the Nabinagar STPP-Gaya 400 kV D/C was put into commercial operation on 12.5.2018 to enable NTPC to draw start up power for NPGCPL, as per the request made by the NPGCPL.*

55. We have considered the submissions of the petitioner. Since the transmission asset has already come on 12.5.2018, the transmission charges (YTC) allowed for the instant asset will be borne by NPGCPL from 12.5.2018 to COD of the first unit of NPGCPL".

88. Therefore, as per the order dated 22.4.2019 in the Petition No. 106/TT/2018, the transmission charges allowed for the transmission asset will be borne by NPGCPL from 12.5.2018 to COD of the first unit of NPGCPL. Thereafter, the billing, collection and disbursement of the transmission charges approved shall be governed by the provisions of the Central Electricity Regulatory Commission (Sharing of Inter-State Transmission Charges and Losses) Regulations, 2010 or the Central Electricity Regulatory Commission (Sharing of Inter-State Transmission Charges and Losses) Regulations, 2020, as applicable, as provided in Regulation 43 of the 2014 Tariff Regulations for the 2014-19 tariff period and Regulation 57 of the 2019 Tariff Regulations for the 2019-24 tariff period."

104. Similarly, the Commission vide its order dated 27.5.2022 in Petition No. 675/TT/2020, held that the NPGCL is liable to pay the transmission charges with respect to Asset-2 and Asset-5 [therein referred to as Asset-I(a), Asset-I(b)] and Asset-3 (therein referred as Asset-II) from its COD till the commissioning of Unit-I, Unit-II, and Unit-III of NPGCL. The Commission further held that the Asset-4 (therein referred to as Asset-III) is not associated with the ATS of NPGCL, and accordingly, the transmission charges of Asset-4 shall be included in Pool. The relevant extract of order is as under:

"*86. We have considered the submissions of the Petitioner and NPGCL. We agree with the submission of the NPGCL that Asset-III is not associated with ATS of NPGCL. Accordingly, the transmission charges in case of Asset-III shall be included in PoC pool.*

87. As per Implementation Agreement dated 18.3.2016 executed between Petitioner and NPGCL, Asset-I(a) and Asset-II are part of ATS of NPGCL and the execution schedule of ATS is 30.4.2019 and the zero date of the project is 1.5.2019 in line with Regulation 12(2) of 2014 tariff Regulations.

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89. The Unit-I and Unit-II of NPGCL 1980 MW (3X660) Nabinagar-II generation project was commissioned on 6.9.2019 and 23.7.2021 respectively and Unit-III is yet to be commissioned and it is anticipated to be commissioned by July, 2021.

90. Asset-I(a), Asset-I(b) and Asset-II were put into commercial operation on 21.7.2019, 21.7.2019 and 1.6.2019 respectively. However, NPGCL did not commission its generating units by then. Therefore, NPGCL is liable to pay the transmission charges as per the details given below in terms of the Regulation 8(5) and Regulation 8(6) of the 2010 Sharing Regulations:

COD of the transmission assets	***Generation capacity (MW) commissioned (COD)***	***Liability of transmission charges***
Asset-I(a) and		***From 21.7.2019 to .9.2019:***

Asset-I(b) 21.7.2019	*Unit-I (660 MW): 6.9.2019* *Unit-II (660 MW): 23.7.2021* *Unit-III (660 MW): Not yet commissioned*	*Transmission charges of Asset-I shall be borne by NPGCL.*
		From 6.9.2019 to 22.7.2021: *Transmission charges of Asset-I proportionate to 660 MW shall be included in the common pool while that for 1320 MW shall be borne by NPGCL*
		From 23.7.2021 till COD of Unit-III: *Transmission charges of Asset-I proportionate to 1320 MW shall be included in the common pool while that for 660 MW shall be borne by NPGCL.*

91. It is observed that as per the Implementation Agreement dated 18.3.2016 between the Petitioner and NPGCPL, the Petitioner was scheduled to put into commercial operation the Asset-II, 1500 MVA 765/400 kV ICT matching with the commissioning of third unit of NPGCL. The third unit of NPGCL has not been commissioned yet. Since Asset-II has already been put into commercial operation on 1.6.2019, the transmission charges (YTC) allowed for Asset-II will be borne by NPGCL from 1.6.2019 to the date of commissioning of Unit-III COD of NPGCL.

92. With effect from 1.11.2020, the 2010 Sharing Regulations has been repealed and sharing of transmission charges is governed by the provisions of the 2020 Sharing Regulations. Accordingly, the liabilities of DICs for arrears of transmission charges determined through this order shall be computed DIC-wise in accordance with the provisions of respective Tariff Regulations and Sharing Regulations and shall be recovered from the concerned DICs under Regulation 15(2)(b) of the 2020 Sharing Regulations. Billing, collection, and disbursement of transmission charges for subsequent period shall be recovered in terms of provisions of the 2020 Sharing Regulations as provided in Regulation 57 of the 2019 Tariff Regulations."

105. We observed that as per the Commission's order dated 8.2.2021 and 27.5.2022 in Petition Nos. 39/TT/2020 and 675/TT/2020 respectively, the transmission assets, viz, Asset-1, Asset-2, Asset-3 and Asset-5 are ATS for NPGCL and the details of the same are as follows:

Sl. No.	NPGCL System	Associated Transmission System
1	Unit-I (660 MW): COD: 6.9.2019	Asset-1 COD: 12.5.2018
2	Unit-I (660 MW): COD: 6.9.2019 Unit-II (660 MW): COD: 23.7.2021 Unit-III (660 MW): COD: 1.6.2022	Asset-2 COD: 21.7.2019 Asset-5, (Re-capitalised): 21.7.2019
3	Unit-III (660 MW): COD: 1.6.2022	Asset-3, COD: 1.6.2019

106. Therefore, in the view of the above and in line with the findings of the Commission vide orders dated 8.2.2021 and 27.5.2022 in Petition No. 39/TT/2020 and 675/TT/2020

respectively, NPGCL is liable to pay the transmission charges with respect to the instant transmission assets and the transmission charges with respect to Asset-4 shall be included in the PoC. The details of the same are as follows:

COD of the transmission Assets	Generator Capacity (MW) commissioned	Date of Commissioning of generation capacity	Liability of transmission charges
Asset-1	***12.5.2018***		
400 kV D/C (Quad) Nabinagar- II – Gaya Transmission Line with 02 number associated bays at Gaya Sub-station	NPGCL, Unit -I: 660 MW (COD: 6.9.2019)		
	Nil	-	From 12.5.2018 to 5.9.2019 Transmission charges proportionate to 660 MW shall be borne by NPGCL.
	6.9.2019	-	From 6.9.2019, the transmission charges shall be including in PoC

COD of the transmission Assets	Generator Capacity (MW) commissioned	Date of Commissioning of generation capacity	Liability of transmission charges
Asset-2 & Asset-5	***21.7.2019***		
400 kV D/C Nabinagar - Patna line along with associated bays at Patna Sub-station And 80 MVAR Switchable Line Reactor at Nabinagar Sub-station	NPGCL, (3x660 MW) *(COD: Unit-I: 6.9.2019, Unit-II: 23.7.2021 & Unit -III: 1.6.2022)*		
	Nil	-	From 21.7.2019 to 5.9.2019 Transmission charges proportionate to 1980 MW shall be borne by NPGCL.
	660 MW	6.9.2019	From 6.9.2019 to 22.7.2021 Transmission charges proportionate to 1320 MW shall be borne by NPGCL. And Transmission charges proportionate to 660 MW shall be included in PoC.
	660 MW	23.7.2021	From 23.7.2021 to 31.5.2022 Transmission charges proportionate to 660 MW shall be borne by NPGCL. And Transmission charges proportionate to 1320

COD of the transmission Assets	Generator Capacity (MW) commissioned	Date of Commissioning of generation capacity	Liability of transmission charges
			MW shall be included in PoC
	660 MW	1.6.2022	From 1.6.2022 Transmission charges proportionate to 1980 MW shall be included in PoC

COD of the transmission Assets	Generator Capacity (MW) commissioned	Date of Commissioning of generation capacity	Liability of transmission charges
Asset-3	***1.6.2019***		
765/400 kV 3X500 MVA ICT-IV along with Associated bays at Gaya Sub-station	NPGCL, Unit -III: 660 MW *(COD: Unit -III: 1.6.2022)*		
	Nil	-	From 1.6.2019 to 31.5.2022 Transmission charges proportionate to 660 MW shall be borne by NPGCL.
	1.6.2022	-	From 1.6.2022, the transmission charges shall be included in PoC

107. With effect from 1.11.2020, the 2010 Sharing Regulations has been repealed and sharing of transmission charges is governed by the provisions of the 2020 Sharing Regulations. Accordingly, the liabilities of DICs for arrears of transmission charges determined through this order shall be computed DIC-wise in accordance with the provisions of the respective Tariff Regulations and Sharing Regulations and shall be recovered from the concerned DICs under Regulation 15(2)(b) of the 2020 Sharing Regulations. The billing, collection, and disbursement of the transmission charges for the transmission assets shall be recovered in terms of provisions of the 2020 Sharing Regulations as provided in Regulation 57 of the 2019 Tariff Regulations for the 2019-24 tariff period and Regulation 78 of the 2024 Tariff Regulations for the 2024-29 tariff period.

108. To Summarise:

a. The details of AFC claimed by the Petitioner in the instant Petition and trued-up AFC approved in the instant order for the transmission assets are as follows:

(₹ in lakh)

Assets	Particulars	2019-20	2020-21	2021-22	2022-23	2023-24
Asset-1	AFC Claimed	3629.10	3621.88	3623.08	3582.86	3559.32
	AFC Approved	3629.10	3621.87	3623.07	3582.86	3559.32
Asset-2	AFC Claimed	4434.32	6433.16	6403.33	6327.83	6206.18
	AFC Approved	4414.03	6350.63	6290.21	6214.85	6174.91
Asset-3	AFC Claimed	1468.04	1835.42	1909.13	1957.75	1975.81
	AFC Approved	1458.91	1810.84	1871.85	1904.00	1956.92
Asset-4	AFC Claimed	28.76	188.12	210.33	216.09	216.32
	AFC Approved	28.74	185.95	201.52	200.41	205.16
Asset-5	AFC Claimed	46.98	47.23	46.37	45.35	44.44
	AFC Approved	46.98	47.43	46.36	45.36	44.43

b. The details of AFC claimed in the instant Petition and allowed for the transmission assets in this order is as follows:

(₹ in lakh)

Assets	Particulars	2024-25	2025-26	2026-27	2027-28	2028-29
Combined Asset	AFC Claimed	11181.49	10968.47	10726.35	10495.80	10254.41
	AFC Allowed	11172.23	10959.47	10717.61	10487.32	10246.19
Asset-5	AFC Claimed	65.27	65.76	66.73	67.99	69.40
	AFC Allowed	65.28	65.76	66.74	67.99	69.41

109. This order disposes of the Petition No. 498/TT/2025, in terms of the above discussions and findings.

sd/-
(Harish Dudani)
Member

sd/-
(Ramesh Babu V.)
Member